

**Johnston Community School District
Johnston, Iowa**

Financial and Compliance Report
Year Ended June 30, 2024

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Johnston Community School District

Board of Education and School District Administration Year Ended June 30, 2024

Board of Education

Jennifer Chamberland	President	2027
Soneeta Mangra-Dutcher	Vice President	2027
Derek Tidball	Board Member	2025
Jason Arnold	Board Member	2027
Deb Davis	Board Member	2025
Lya Williams	Board Member	2027
Clint Evans	Board Member	2025

School District Administration

Dr. Nikki Roorda	Superintendent of Schools
Jill Van Woerkom	Associate Superintendent of Teaching & Learning
Ryan Eidahl	Chief Financial Officer
Chris Billings	Executive Director of School Leadership
Dr. Nate Zittergruen	Executive Director of Human Resources
Maria Freed	Director of Business Services
Scott Kruthoff	Director of Community Education
Bob Devens	Director of Buildings and Grounds
LaRae Doll	Director of Nutrition & Food Services
Tony Sparks	Director of Technology
Ryan Woods	High School Principal
Cole Van Vark	High School Assistant Principal
Kyla Burns	High School Associate Principal
Randy Klein	High School Associate Principal
Luke Dillon	Middle School Principal
Ben Chadwick	Middle School Assistant Principal
Tron England	Middle School Associate Principal
Kaniesha Pettaway	Summit Middle School Principal
Amy Eschliman	Summit School Assistant Principal
Jerry Stratton	Summit School Associate Principal
Heather Semelmacher	Director of Athletics and Activities
Melissa Crosse	Assistant Director of Athletics and Activities
Nikki Heidemann	Lawson Elementary Principal
Raine Mollenbeck	Timber Ridge Elementary Principal
Lindsey Cornwell	Horizon Elementary Principal
Suzie Pearson	Wallace Elementary Principal
Eric Toot	Beaver Creek Elementary Principal
Shawna Shanahan	Director of Special Education
Lynn Meadows	Director of Communications
Joy Palmer	Director of Johnston Early Learning Academy
Mary Jane Stites	Director of Johnston Therapeutic Program
Christina Wilson	Director of SEBMH
Adam Busch	Director of Student Services
Michelle Crannell	Director of Elementary Teaching & Learning
Erica Whittle	Director of Secondary Teaching & Learning
Jyll Johnson Miner	Postsecondary Pathways & Related Arts Learning Director

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Independent Auditor's Report

To the Board of Education
Johnston Community School District
Johnston, Iowa

Report on the Audit of Financial Statements

Opinions

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the Johnston Community School District (District) as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the Johnston Community School District, as of June 30, 2024, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (Government Auditing Standards). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Johnston Community School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Johnston Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Johnston Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Johnston Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, schedules of changes in the District's proportionate share of the net pension liability and schedules of contributions for the Iowa Public Employee's Retirement System and schedule of changes in the District's total OPEB liability and related ratios, and budgetary comparison information, on pages 4–13 and 57-66 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context.

We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Johnston Community School District's basic financial statements. The combining and individual fund statements and schedules and schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining and individual fund financial statements and schedules and schedule of expenditures of federal awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 13, 2024, on our consideration of the Johnston Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Johnston Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Johnston Community School District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2024

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Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Johnston Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2024. We encourage readers to consider this information in conjunction with additional information that we have furnished in our transmittal letter and the District's financial statements, which follow:

FINANCIAL HIGHLIGHTS

- For the year ended June 30, 2024, the District reported an increase of \$7,905,371 in combined total governmental and business type activities net position to \$185,150,535. For the year ended June 30, 2023, the District reported an increase of \$23,846,452 in combined total governmental and business-type activities net position to \$177,245,164.
- Total revenues for the fiscal year ended June 30, 2024 and 2023 of \$121,895,040 and \$132,307,114 were comprised of general revenues in the amount of \$87,487,827 and \$99,820,118 and program revenues totaling \$34,407,213 and \$32,486,996.
- As of June 30, 2024, the District's governmental funds reported combined ending fund balances of \$41,025,058, an increase of \$242,564 in comparison with the prior year. As of June 30, 2023, the District's governmental funds reported combined ending fund balances of \$40,782,494, an increase of \$2,095,735 in comparison with the prior year.
- As of June 30, 2024, unassigned fund balance of the General Fund was \$11,860,294 or 12.2 percent of total General Fund expenditures. As of June 30, 2023, unassigned fund balance of the General Fund was \$15,556,695 or 16.8 percent of total General Fund expenditures.
- The District's revenue bonded debt decreased by \$3,834,915 due to principal payments totaling \$3,465,000 and amortization/accretion of premiums and discounts of \$369,915.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Johnston Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Johnston Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Johnston Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.
- Supplementary information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefitting the District.

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.

Business type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition, community education, community preschool and community child care programs are included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

The District has three kinds of funds:

- 1) **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's major governmental funds for 2023-24 were the General Fund, Capital Projects Fund and Management Levy Fund. The nonmajor governmental funds include the Special Revenue Fund Student Activities Fund and the Debt Service Fund. The required financial statements for governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business-type activities but provide more detail and additional information, such as cash flows. The District currently has four Enterprise Funds, the School Nutrition Fund, Community Education Fund, Community Preschool Fund and Community Child Care Fund. The District uses internal service funds, the other kind of proprietary fund, to report activities that provide supplies and services for other District programs and activities. The District currently has two internal service funds, which are used to account for the District's premium and claim payments for the self-insured health insurance and dental insurance plans for District employees, and a flexible benefits fund.

The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Net Position and a Statement of Cash Flows.

- 3) **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

Custodial Funds: These are funds through which the District faculty accounts for certain revenue collected for District employee purchases of pop, funeral flowers, etc. and related expenditures and for revenues and expenditures of other various club accounts.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Table 1 below provides a summary of the District's net position as of June 30, 2024 compared to June 30, 2023.

Table 1 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total District	
	2024	2023	2024	2023	2024	2023
Current assets	\$ 108,007,622	\$ 100,739,972	\$ 8,663,178	\$ 8,220,745	\$ 116,670,800	\$ 108,960,717
Capital assets	185,541,332	183,780,257	580,458	673,658	186,121,790	184,453,915
Total assets	293,548,954	284,520,229	9,243,636	8,894,403	302,792,590	293,414,632
Deferred outflows of resources	10,797,376	6,759,804	582,672	355,342	11,380,048	7,115,146
Current liabilities	22,142,891	19,876,420	947,749	634,974	23,090,640	20,511,394
Non-current liabilities	59,616,176	58,676,674	1,683,098	1,411,511	61,299,274	60,088,185
Total liabilities	81,759,067	78,553,094	2,630,847	2,046,485	84,389,914	80,599,579
Deferred inflows of resources	44,448,526	42,392,019	183,663	293,016	44,632,189	42,685,035
Net position:						
Net investment in capital assets	150,324,908	148,430,855	580,458	673,658	150,905,366	149,104,513
Restricted	28,620,912	21,665,369	-	-	28,620,912	21,665,369
Unrestricted	(807,083)	238,696	6,431,340	6,236,586	5,624,257	6,475,282
Total net position, as restated	\$ 178,138,737	\$ 170,334,920	\$ 7,011,798	\$ 6,910,244	\$ 185,150,535	\$ 177,245,164

The District's combined net position as of June 30, 2024 grew by \$7,905,371 (4.5%) over the June 30, 2023 combined net position. Net position in the governmental activities grew by \$7,803,817 (4.6%). The net position of the District's business-type activities increased by \$101,554 (1.5%).

The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings, equipment and right-to-use leased equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

The most significant factors for the increase in the combined net position of the District were the increase in the restricted portion of net position and the increase in the net investment in capital assets.

The District's combined net investment in capital assets increased by \$1,800,853 (1.2%). Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased by \$6,955,543 (32.1%) which was primarily due to the increase in restrictions for physical plant and equipment and school infrastructure.

Governmental activities unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) decreased by \$851,025. The decrease in unrestricted is primarily due to expenses of unrestricted sources being greater than revenues generated from unrestricted sources.

Net position increased in Business-Type activities by \$101,554 (1.5%).

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Table 2 shows the changes in net position for the year ended June 30, 2024 compared to the year ended June 30, 2023.

Table 2 Changes in Net Position From Operating Results

	Governmental Activities		Business-Type Activities		Total District	
	2024	2023	2024	2023	2024	2023
Revenues:						
Program revenues:						
Charges for services	\$ 10,374,894	\$ 8,295,651	\$ 5,485,721	\$ 5,892,803	\$ 15,860,615	\$ 14,188,454
Operating grants and contributions	16,245,950	15,584,981	2,258,149	2,713,561	18,504,099	18,298,542
Capital grants and contributions	42,499	-	-	-	42,499	-
General revenues:						
Local taxes	36,190,920	49,449,327	-	-	36,190,920	49,449,327
Statewide sales, services and use tax	9,201,508	9,567,874	-	-	9,201,508	9,567,874
State sources	39,741,528	38,024,472	-	-	39,741,528	38,024,472
Investment earnings	1,717,657	1,260,349	222,529	-	1,940,186	1,260,349
Other	413,685	1,518,096	-	-	413,685	1,518,096
Total revenues	113,928,641	123,700,750	7,966,399	8,606,364	121,895,040	132,307,114
Expenses:						
Instructional	71,639,054	69,576,831	-	-	71,639,054	69,576,831
Support services						
Student	2,840,079	2,325,718	-	-	2,840,079	2,325,718
Instructional staff	4,797,057	4,317,513	-	-	4,797,057	4,317,513
Administration	10,901,715	4,694,882	-	-	10,901,715	4,694,882
Operations and maintenance	5,528,834	9,131,869	-	-	5,528,834	9,131,869
Student transportation	5,795,770	5,629,828	-	-	5,795,770	5,629,828
Noninstructional	102,418	(57,466)	-	-	102,418	(57,466)
AEA	3,508,434	3,422,783	-	-	3,508,434	3,422,783
Interest expense	1,346,965	2,563,848	-	-	1,346,965	2,563,848
Other	-	149,035	7,529,343	6,705,821	7,529,343	6,854,856
Total expenses	106,460,326	101,754,841	7,529,343	6,705,821	113,989,669	108,460,662
Excess (deficiency) before transfers	7,468,315	21,945,909	437,056	1,900,543	7,905,371	23,846,452
Transfers, net	335,502	340,507	(335,502)	(340,507)	-	-
Change in net position	7,803,817	22,286,416	101,554	1,560,036	7,905,371	23,846,452
Beginning net position	170,334,920	148,048,504	6,910,244	5,350,208	177,245,164	153,398,712
Ending net position	\$ 178,138,737	\$ 170,334,920	\$ 7,011,798	\$ 6,910,244	\$ 185,150,535	\$ 177,245,164

In 2023-24, property taxes, unrestricted intergovernmental revenue and state foundation aid accounted for 75.0% of the revenue from governmental activities while charges for services and grants and contributions accounted for 97.2% of the revenue from business-type activities.

In 2023-24, the District's expenses primarily relate to instructional and support services, which account for 89.0% of the total expenses. Total District expenses increased by \$5,529,007 (5.1%), primarily because of increases in instruction and support services expenditures related to salary and benefit increases.

Total revenue for the District decreased by \$10,412,074 (7.9%) in the fiscal year ended June 30, 2024. The most significant revenue category changes were due to a decrease in local taxes. The assessed value of the District increased 2%, however the tax rate was decreased from 17.752 per \$1,000 of assessed value to 13.005 resulting in a decrease of property tax revenue for general purposes of \$6,567,378 and property tax revenues for debt service of \$7,360,101.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

In Table 3 the net cost of services of \$79,582,456 for 2024 was financed by general revenues, which are property taxes, excise taxes, other taxes and investment and other local revenue \$38,544,791 and state sources \$48,943,036.

Table 3 Net Cost of Governmental Activities and Business-Type Activities

	Total Cost of Services		Net Cost of Services	
	2024	2023	2024	2023
Governmental activities				
Instruction	\$ 71,639,054	\$ 69,576,831	\$ 51,277,419	\$ 49,357,591
Support services:				
Student	2,840,079	2,325,718	2,811,104	2,325,718
Instructional staff	4,797,057	4,317,513	2,113,666	4,317,513
Administration	10,901,715	4,694,882	10,882,039	4,694,882
Operation and maintenance of plant	5,528,834	9,131,869	5,467,602	9,074,779
Student transportation	5,795,770	5,629,828	5,795,770	5,448,309
Noninstructional programs	102,418	(57,466)	102,418	(57,466)
AEA	3,508,434	3,422,783	-	-
Interest expense	1,346,965	2,712,883	1,346,965	3,717,955
Total Governmental activities	106,460,326	101,754,841	79,796,983	78,879,281
Business-type activities				
Nutrition services	4,167,135	3,951,829	(118,304)	(924,115)
Community child care services	2,330,206	1,733,160	(107,790)	(171,444)
Community preschool services	355,046	301,519	24,568	(171,444)
Community education services	676,956	719,313	(13,001)	(16,678)
Total Business-type activities	7,529,343	6,705,821	(214,527)	(1,283,681)
Total Primary Government	\$ 113,989,669	\$ 108,460,662	\$ 79,582,456	\$ 77,595,600

Governmental Activities

Revenue for the District's governmental activities in 2023-24 decreased by \$9,772,109 (7.9%) from the previous year, while total expenses in governmental activities increased by \$4,705,485 (4.6%). Governmental activities net position as of June 30, 2024 increased by \$7,803,817 (4.6%) over the June 30, 2023 balance.

For the year ended June 30, 2024:

- The cost financed by the users of the District's programs was \$10,374,894.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$16,288,449.
- The net cost of governmental activities was financed with \$36,190,920 in local taxes, \$39,741,528 of unrestricted state grants, \$9,201,508 in statewide sales and services tax revenue, and \$2,131,342 in investment and other earnings.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

For the year ended June 30, 2023:

- The cost financed by the users of the District's programs was \$8,295,651.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$15,584,981.
- The net cost of governmental activities was financed with \$49,449,327 in local taxes, \$38,024,472 of unrestricted state grants, \$9,567,874 in statewide sales and services tax revenue, \$1,260,349 in investment and other earnings and \$1,518,096 in other revenues.

Business-Type Activities

The District's business-type activities include the School Nutrition Fund, Community Education Fund, Community Preschool Fund and Community Child Care Fund. Revenues of the District's business-type activities in 2023-24 were \$7,966,399; a decrease of \$639,965 (7.4%) from 2022-23. Other revenues of these activities were comprised of federal and state reimbursements and interest. Expenses were \$7,529,343, an increase of \$823,522 (12.3%) from 2022-23.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Johnston Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$41,025,058, which reflects an increase of \$242,564 (5.9%) from last year's ending fund balances of \$40,782,494.

Governmental Fund Highlights

- The fund balance in the District's General Fund decreased by \$4,206,276 (20.2%) from \$20,773,674 as of June 30, 2023 to \$16,567,398 as of June 30, 2024. Revenues of the General Fund increased \$518,595 (0.6%). Expenditures increased \$4,108,632 (4.4%), primarily in instruction.
- The fund balance in the Capital Projects Fund increased by \$4,330,028 (36.2%) from \$11,959,937 as of June 30, 2023 to \$16,289,965 as of June 30, 2024. Total expenditures were \$10,026,456 in 2023-24 compared to \$4,776,764 in 2022-23. The increase in expenditures were due to planned capital projects for buildings and building renovations.
- The fund balance in the Management Levy Fund increased \$1,962,358 (35.1%) from \$5,584,053 as of June 30, 2023 to \$7,546,411 as of June 30, 2024.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

Proprietary Fund Highlights

The net position of the District's proprietary funds increased during the year.

- The net position of the Nutrition Fund increased by \$52,122 (1.3%) during 2023-24 from the 2022-23 net position.
- The net position of the Community Education Fund increased by \$13,001 (4.6%) during 2023-24 from the 2022-23 net position
- The net position of the Community Preschool Fund decreased by \$22,732 (172.5%) during 2023-24 from the 2022-23 net position
- The net position of the Community Child Care Fund increased by \$59,163 (1.9%) during 2023-24 from the 2022-23 net position

BUDGETARY HIGHLIGHTS

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except for internal services, private-purpose trusts and custodial funds. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the accrual basis. Schedules showing the original and final budget amounts compared to the District's actual financial activity are included in the required supplementary information section of this report.

Legal Budgetary Highlights

As allowed by GASB Statement No. 41, Budgetary Comparison Schedules- Perspective Differences, the District presents budgetary comparison schedules as required supplementary information based on the program structure of four functional areas as required by state statute for its legally adopted budget. In accordance with the Code of Iowa, the Board of Education annually adopts a program budget for all funds except for internal service and agency funds as described in the note to required supplementary information.

A comparison of actual expenditures/expenses of the District's budgeted funds with the final program budget amounts is as follows:

	Final Budget	Actual	Variance
Instruction	\$ 70,280,000	\$ 70,781,853	\$ (501,853)
Support services	34,415,000	33,134,094	1,280,906
Non-instructional	7,815,000	6,832,828	982,172
Other	17,687,899	13,586,169	4,101,730
	<u>\$ 130,197,899</u>	<u>\$ 124,334,944</u>	<u>\$ 5,862,955</u>

As of June 30, 2024, the District exceeded the final budget in the instruction function.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

By the end of the 2023-24 fiscal year, the District had invested \$186,121,790 (net of accumulated depreciation and amortization of \$93,920,753) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. This amount represents a net increase of \$1,667,875 or 0.9% from last year. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was \$6,581,856.

Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total District	
	2024	2023	2024	2023	2024	2023
Land	\$ 9,048,757	\$ 9,048,758	\$ -	\$ -	\$ 9,048,757	\$ 9,048,758
Construction in progress	2,516,017	-	-	-	2,516,017	-
Buildings	162,292,925	166,246,752	-	-	162,292,925	166,246,752
Improvements other than buildings	3,184,941	3,291,942	580,458	673,658	3,765,399	3,965,600
Furniture and equipment	8,305,042	5,192,805	-	-	8,305,042	5,192,805
Right-to-use lease equipment	88,882	-	-	-	88,882	-
Right-to-use IT subscription	104,768	-	-	-	104,768	-
Total	\$ 185,541,332	\$ 183,780,257	\$ 580,458	\$ 673,658	\$ 186,121,790	\$ 184,453,915

Long-Term Debt

As of June 30, 2024, the District had \$66,532,980 in long-term debt outstanding. This represents an increase of \$2,403,653 (3.7%) over last year. In the 2023-24 fiscal year, the District made principal payments of \$4,162,833 and interest payments of \$1,808,653 on its long-term debt including equipment financing, lease obligations and IT subscription obligations. More detailed information about the District's long-term debt is presented in Note 5 to the financial statements.

The constitution of the State of Iowa limits the amount of general obligation debt districts can issue to 5% of the assessed value of all taxable property within the District. The District's outstanding long-term obligation debt is significantly below its constitutional debt limit of \$156,888,766.

Outstanding Long-Term Obligations

	Governmental Activities		Business-Type Activities		Total District	
	2024	2023	2024	2023	2024	2023
Revenue bonds, net	\$ 31,514,493	\$ 35,349,408	\$ -	\$ -	\$ 31,514,493	\$ 35,349,408
Subscription liability	98,663	-	-	-	98,663	-
Lease liability	86,414	-	-	-	86,414	-
Equipment financing	1,901,112	-	-	-	1,901,112	-
Compensated absences	233,281	186,081	25,000	20,140	258,281	206,221
Total OPEB liability	4,662,794	3,855,169	299,737	222,574	4,962,531	4,077,743
Net pension liability	26,317,598	23,307,018	1,393,888	1,188,937	27,711,486	24,495,955
Total	\$ 64,814,355	\$ 62,697,676	\$ 1,718,625	\$ 1,431,651	\$ 66,532,980	\$ 64,129,327

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2024

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District is located in the central part of the state, within the larger Des Moines metropolitan area and ranks as one of the top growth areas of the country. The economic condition and outlook of the District have remained strong during the past ten years, and as a result, the District has experienced growth over the past several years. This growth has had a positive effect on employment and the District's tax base.
- Prior to the pandemic, the District expected continued enrollment growth, but much smaller than the average over the last ten years of 91 or approximately one percent. The District has utilized a demographer to assist with enrollment projections.
- Inadequate state funding and enrollments will continue to put great pressure on district finances to meet the personnel, facility and transportation needs of the District. Balancing these factors with increasing operational and program costs is a continuous challenge.
- In policy, the District has a financial solvency ratio target of 5-15% with 10% as a minimal goal, and unspent target of 5-15%. It will be important to maintain an adequate cash reserve levy to achieve and maintain the financial solvency goal, and will be equally important to monitor and adjust recurring expenses such as salaries and benefits which represent approximately 80% of the operating budget.
- The economy continues to be a factor that could have consequences for the district in regard to state revenues, property valuations, and enrollment.
- Johnston has invested heavily in its 1:1 iPad initiative, being designated as an Apple Distinguished School District. While this innovation supports learning, it requires ongoing funding for updates and technology support
- The district has embarked on a detailed strategic planning process, focusing on operational improvements, stakeholder engagement, and aligning resources with long-term goals.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Ryan Eidahl, Chief Financial Officer, Johnston Community School District, 6510 NW 62nd Avenue, Johnston, IA 50131-1234.

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Johnston Community School District

Statement of Net Position

June 30, 2024

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash, cash equivalents and investments	\$ 60,023,734	\$ 8,466,537	\$ 68,490,271
Property taxes receivables:			
Current year	50,966	-	50,966
Succeeding year	41,320,726	-	41,320,726
Due from other governments	6,206,055	13,380	6,219,435
Other receivables	143,892	111,529	255,421
Prepaid expenses	157,655	-	157,655
Inventories	104,594	71,732	176,326
Total current assets	108,007,622	8,663,178	116,670,800
Noncurrent assets:			
Capital assets:			
Nondepreciable:			
Land	9,048,757	-	9,048,757
Construction in progress	2,516,017	-	2,516,017
Depreciable:			
Buildings	236,430,276	-	236,430,276
Improvements other than buildings	9,849,161	-	9,849,161
Furniture and equipment	18,830,763	3,094,598	21,925,361
Right-to-use lease equipment	123,067	-	123,067
Right-to-use IT subscription	149,904	-	149,904
Accumulated depreciation/amortization	(91,406,613)	(2,514,140)	(93,920,753)
Net capital assets	185,541,332	580,458	186,121,790
Total noncurrent assets	185,541,332	580,458	186,121,790
Total assets	293,548,954	9,243,636	302,792,590
Deferred Outflows of Resources			
OPEB related deferred outflows	954,122	61,334	1,015,456
Pension related deferred outflows	9,843,254	521,338	10,364,592
Total deferred outflows of resources	10,797,376	582,672	11,380,048

See Notes to Basic Financial Statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	6,080,306	234,199	6,314,505
Salaries and benefits payable	8,441,139	161,968	8,603,107
Claims payable	1,558,585	-	1,558,585
Interest payable	864,682	-	864,682
Unearned revenue	-	516,055	516,055
Compensated absences	233,281	25,000	258,281
IT subscription obligation	52,040	-	52,040
Lease liability	40,806	-	40,806
Equipment financing	623,368	-	623,368
Revenue bonds	4,084,915	-	4,084,915
Other post employment benefits liability	163,769	10,527	174,296
Total current liabilities	22,142,891	947,749	23,090,640
Noncurrent liabilities:			
IT subscription obligation	46,623	-	46,623
Lease liability	45,608	-	45,608
Equipment financing	1,277,744	-	1,277,744
Revenue bonds	27,429,578	-	27,429,578
Other post employment benefits liability	4,499,025	289,210	4,788,235
Net pension liability	26,317,598	1,393,888	27,711,486
Total noncurrent liabilities	59,616,176	1,683,098	61,299,274
Total liabilities	81,759,067	2,630,847	84,389,914
Deferred Inflows of Resources			
Property taxes	41,320,726	-	41,320,726
OPEB related deferred inflows	1,590,399	102,234	1,692,633
Pension related deferred inflows	1,537,401	81,429	1,618,830
Total deferred inflows of resources	44,448,526	183,663	44,632,189
Net Position			
Net investment in capital assets	150,324,908	580,458	150,905,366
Restricted for:			
Categorical funding	2,547,510	-	2,547,510
Physical plant and equipment	6,511,494	-	6,511,494
School infrastructure	11,394,213	-	11,394,213
Management levy	7,546,411	-	7,546,411
Student activities	621,284	-	621,284
Unrestricted	(807,083)	6,431,340	5,624,257
Total net position	\$ 178,138,737	\$ 7,011,798	\$ 185,150,535

Johnston Community School District

Statement of Activities
Year Ended June 30, 2024

Functions/Programs	Expenses	Program Revenues		
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions
Governmental Activities:				
Instruction:				
Regular	\$ 44,743,479	\$ 6,643,176	\$ 6,742,242	\$ -
Special	16,695,339	2,390,673	1,205,504	-
Other	10,200,236	1,235,458	2,144,582	-
Support services:				
Student	2,840,079	28,975	-	-
Instructional staff	4,797,057	41,071	2,642,320	-
Administration	10,901,715	19,676	-	-
Plant operation and maintenance	5,528,834	15,865	2,868	42,499
Student transportation	5,795,770	-	-	-
Noninstructional programs	102,418	-	-	-
AEA flowthrough	3,508,434	-	3,508,434	-
Interest on long-term debt	1,346,965	-	-	-
Total governmental activities	106,460,326	10,374,894	16,245,950	42,499
Business-type activities:				
Nutrition services	4,167,135	2,065,842	2,219,597	-
Community child care	2,330,206	2,437,996	-	-
Community preschool	355,046	291,926	38,552	-
Community education	676,956	689,957	-	-
Total business-type activities	7,529,343	5,485,721	2,258,149	-
Total primary government	\$ 113,989,669	\$ 15,860,615	\$ 18,504,099	\$ 42,499

General revenues and transfers

General revenues:

Taxes:

Property taxes for general purpose

Property taxes for debt service

Property taxes for capital outlay

Revenue in lieu of taxes

Sales taxes

Excise taxes

Other taxes

Unrestricted state aid

Investment earnings

Gain on sale of capital assets

Transfers

Total general revenues and transfers

Change in net position

Net position, beginning of year

Net position, end of year

See Notes to Basic Financial Statements.

Net (Expense) Revenue and Changes in Net Position		
Governmental Activities	Business-Type Activities	Total
\$ (31,358,061)	\$ -	\$ (31,358,061)
(13,099,162)	-	(13,099,162)
(6,820,196)	-	(6,820,196)
(2,811,104)	-	(2,811,104)
(2,113,666)	-	(2,113,666)
(10,882,039)	-	(10,882,039)
(5,467,602)	-	(5,467,602)
(5,795,770)	-	(5,795,770)
(102,418)	-	(102,418)
-	-	-
(1,346,965)	-	(1,346,965)
(79,796,983)	-	(79,796,983)
-	118,304	118,304
-	107,790	107,790
-	(24,568)	(24,568)
-	13,001	13,001
-	214,527	214,527
\$ (79,796,983)	\$ 214,527	\$ (79,582,456)
25,966,871	-	25,966,871
4,424,551	-	4,424,551
5,139,926	-	5,139,926
326,564	-	326,564
9,201,508	-	9,201,508
632,973	-	632,973
26,599	-	26,599
39,414,964	-	39,414,964
1,717,657	222,529	1,940,186
413,685	-	413,685
335,502	(335,502)	-
87,600,800	(112,973)	87,487,827
7,803,817	101,554	7,905,371
170,334,920	6,910,244	177,245,164
\$ 178,138,737	\$ 7,011,798	\$ 185,150,535

Johnston Community School District

**Balance Sheet
Governmental Funds
June 30, 2024**

	General	Capital Projects
Assets		
Cash, cash equivalents and investments	\$ 23,733,156	\$ 17,049,453
Property taxes receivable:		
Current year	35,680	9,580
Succeeding year	30,824,428	5,681,306
Due from other governments	5,359,381	846,674
Other receivables	99,248	-
Inventories	104,594	-
Total assets	\$ 60,156,487	\$ 23,587,013
Liabilities, Deferred Inflows of Resources and Fund Balances		
Liabilities:		
Accounts payable and accrued liabilities	\$ 4,323,522	\$ 1,615,742
Salaries and benefits payable	8,441,139	-
Total liabilities	12,764,661	1,615,742
Deferred inflows of resources:		
Unavailable revenue - property tax	30,824,428	5,681,306
Total deferred inflows of resources	30,824,428	5,681,306
Fund balances:		
Nonspendable:		
Inventories	104,594	-
Restricted:		
Categorical funding	2,547,510	-
Physical plant and equipment	-	5,984,938
School infrastructure	-	10,305,027
Management levy	-	-
Student activities	-	-
Committed	2,055,000	-
Unassigned	11,860,294	-
Total fund balances	16,567,398	16,289,965
Total liabilities, deferred inflows of resources and fund balances	\$ 60,156,487	\$ 23,587,013

See Notes to Basic Financial Statements.

Management Levy	Nonmajor Governmental Funds	Total Governmental Funds
\$ 7,599,266	\$ 667,237	\$ 49,049,112
5,706	-	50,966
4,814,992	-	41,320,726
-	-	6,206,055
-	36,528	135,776
-	-	104,594
<u>\$ 12,419,964</u>	<u>\$ 703,765</u>	<u>\$ 96,867,229</u>

\$ 58,561	\$ 82,481	\$ 6,080,306
-	-	8,441,139
<u>58,561</u>	<u>82,481</u>	<u>14,521,445</u>

4,814,992	-	41,320,726
<u>4,814,992</u>	<u>-</u>	<u>41,320,726</u>

-	-	104,594
-	-	2,547,510
-	-	5,984,938
-	-	10,305,027
7,546,411	-	7,546,411
-	621,284	621,284
-	-	2,055,000
-	-	11,860,294
<u>7,546,411</u>	<u>621,284</u>	<u>41,025,058</u>

<u>\$ 12,419,964</u>	<u>\$ 703,765</u>	<u>\$ 96,867,229</u>
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Johnston Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities June 30, 2024

Total fund balances of governmental funds	\$	41,025,058
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Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.	185,541,332
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The Internal Service Fund is used by the District's management to charge the costs of the self-insurance program to the individual funds. The assets and liabilities of the Internal Service Fund are included with the governmental activities.	9,581,808
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Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds as follows:

Deferred outflows of resources related to pension	9,843,254	
Deferred inflows of resources related to pension	(1,537,401)	
Deferred inflows of resources related to OPEB	(1,590,399)	
Deferred outflows of resources related to OPEB	<u>954,122</u>	7,669,576

Long-term liabilities, including bonds payable are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.

Long-term liabilities at year-end consist of:

Bonds payable	(29,295,000)	
Bond premiums	(2,219,493)	
Accrued interest payable	(864,682)	
IT subscription obligation	(98,663)	
Lease liability	(86,414)	
Equipment financing	(1,901,112)	
Compensated absences	(233,281)	
Other postemployment benefits obligation	(4,662,794)	
Net pension liability	<u>(26,317,598)</u>	<u>(65,679,037)</u>
Net position of governmental activities		<u>\$ 178,138,737</u>

See Notes to Basic Financial Statements.

Johnston Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year Ended June 30, 2024

	General	Capital Projects
Revenues:		
Local sources:		
Property tax	\$ 25,966,871	\$ 5,139,926
Utility excise tax	469,887	81,280
Other tax	19,752	3,408
Tuition	7,755,012	-
Other	1,204,746	166,483
Interest income	977,931	576,865
Intermediate sources	120,353	-
State sources	52,575,534	9,243,448
Federal sources	3,312,134	15,666
Total revenues	92,402,220	15,227,076

(Continued)

Management Levy	Nonmajor Governmental Funds	Total Governmental Funds
\$ 4,424,551	\$ -	\$ 35,531,348
81,806	-	632,973
3,439	-	26,599
-	-	7,755,012
7,759	1,163,040	2,542,028
162,861	-	1,717,657
-	-	120,353
42,204	-	61,861,186
-	-	3,327,800
4,722,620	1,163,040	113,514,956

Johnston Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year Ended June 30, 2024

	General	Capital Projects
Expenditures:		
Current:		
Instruction:		
Regular	40,369,000	2,814,360
Special	16,710,868	-
Vocational and other	9,185,769	-
Support services:		
Student	2,887,870	-
Instructional staff	3,178,037	1,780,928
Administration	8,433,338	117,992
Plant operation and maintenance	7,663,739	402,869
Student transportation	4,965,340	804,058
Noninstructional programs	47,969	-
Other expenditures:		
AEA flowthrough	3,508,434	-
Capital outlay	-	4,106,249
Debt service:		
Principal retirement	-	-
Interest and fiscal charges	-	-
Total expenditures	96,950,364	10,026,456
 Excess (deficiency) of revenues over (under) expenditures	 (4,548,144)	 5,200,620
Other financing sources (uses):		
Issuance of equipment lease and financing	-	2,667,359
Issuance of IT subscription	-	116,663
Proceeds from sale of capital asset	2,038	411,647
Transfers in	339,830	1,905,225
Transfers out	-	(5,971,486)
Total other financing sources (uses)	341,868	(870,592)
 Net change in fund balances	 (4,206,276)	 4,330,028
 Fund balances, beginning of year	 20,773,674	 11,959,937
Fund balances, end of year	<u>\$ 16,567,398</u>	<u>\$ 16,289,965</u>

See Notes to Basic Financial Statements.

Management Levy	Nonmajor Governmental Funds	Total Governmental Funds
197,225	-	43,380,585
-	-	16,710,868
-	1,091,942	10,277,711
-	-	2,887,870
-	-	4,958,965
1,336,713	9,419	9,897,462
1,139,645	-	9,206,253
26,372	-	5,795,770
55,979	-	103,948
-	-	3,508,434
-	-	4,106,249
-	4,162,833	4,162,833
-	1,808,653	1,808,653
2,755,934	7,072,847	116,805,601
1,966,686	(5,909,807)	(3,290,645)
-	-	2,667,359
-	-	116,663
-	-	413,685
-	5,971,486	8,216,541
(4,328)	(1,905,225)	(7,881,039)
(4,328)	4,066,261	3,533,209
1,962,358	(1,843,546)	242,564
5,584,053	2,464,830	40,782,494
\$ 7,546,411	\$ 621,284	\$ 41,025,058

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Johnston Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities Year Ended June 30, 2024

Net change in fund balances - total governmental funds \$ 242,564

Amounts reported for governmental activities in the statement of activities are different because:

Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of these assets is allocated over their estimated useful lives and reported as depreciation/amortization expense. This is the amount by which capital outlays exceeded depreciation/amortization expense in the current period. Capital outlay and depreciation/amortization expense in the year are as follows:

Capital outlay	\$ 8,224,373	
Depreciation/amortization expense	(6,463,294)	1,761,079
Proceeds from sale of capital assets	(413,685)	
Gain on disposal of capital assets	413,685	-

Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position and does not effect the statement of activities.

Repayment of principal	4,162,833	
Issuance of long-term debt	(2,784,022)	
Change in accrued interest payable	91,773	
Amortization of bond premiums and discounts	369,915	1,840,499

An internal service fund is used by the District's management to charge the costs of the insurance program to the individual funds. The change in net position in the internal service fund is reported with governmental activities.

1,116,153

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.

Increase in compensated absences	(47,200)	
Change in OPEB expense and related deferrals	(321,778)	
Change in pension expense and related deferrals	3,212,500	2,843,522
Change in net position of governmental activities	\$ 7,803,817	

See Notes to Basic Financial Statements.

Johnston Community School District

Statement of Net Position

Proprietary Funds

June 30, 2024

	Business-Type Activities	Governmental Activities
	Total Nonmajor Enterprise Funds	Internal Service Fund
Assets		
Current assets:		
Cash and cash equivalents	\$ 8,466,537	\$ 10,974,622
Due from other governments	13,380	-
Other receivables	111,529	8,116
Prepaid expenses	-	157,655
Inventories	71,732	-
Total current assets	8,663,178	11,140,393
Noncurrent assets:		
Capital assets:		
Furniture and equipment	3,094,598	-
Less accumulated depreciation	(2,514,140)	-
Total noncurrent assets	580,458	-
Total assets	9,243,636	11,140,393
Deferred Outflows of Resources		
OPEB related amounts	61,334	-
Pension related amounts	521,338	-
Total deferred outflows of resources	582,672	-
Liabilities		
Current liabilities:		
Accounts payable	234,199	-
Salaries and benefits payable	161,968	-
Claims payable	-	1,558,585
Compensated absences	25,000	-
Unearned revenue	516,055	-
Other post employment benefit obligations	10,527	-
Total current liabilities	947,749	1,558,585
Noncurrent liabilities:		
Other post employment benefit obligations	289,210	-
Net pension liability	1,393,888	-
Total noncurrent liabilities	1,683,098	-
Total liabilities	2,630,847	1,558,585
Deferred Inflows of Resources		
OPEB related amounts	102,234	-
Pension related amounts	81,429	-
Total deferred inflows of resources	183,663	-
Net Position		
Net investment in capital assets	580,458	-
Unrestricted	6,431,340	9,581,808
Total net position	\$ 7,011,798	\$ 9,581,808

See Notes to Basic Financial Statements.

Johnston Community School District

Statement of Revenues, Expenses and Changes in Net Position

Proprietary Funds

Year Ended June 30, 2024

	Business-Type Activities	Governmental Activities,
	Total Nonmajor Enterprise Funds	Internal Service Fund
Operating revenues:		
Local sources:		
Other local sources:		
Sale of lunches and breakfast:		
Students	\$ 1,507,229	\$ -
Adults	10,600	-
A la carte	407,165	-
Special functions	134,995	-
Charges for service	3,332,496	13,851,820
Other	93,236	-
Total operating revenues	5,485,721	13,851,820
Operating expenses:		
Instruction:		
Salaries	195,140	-
Employee benefits	61,886	-
Purchased services	24,550	-
Supplies	6,531	-
Miscellaneous	124,582	-
Support services:		
Salaries	153,671	-
Employee benefits	58,772	-
Purchased services	175,273	-
Depreciation	58	-
Noninstructional programs:		
Salaries	3,056,312	-
Employee benefits	917,926	11,671,016
Purchased services	260,805	1,064,651
Kitchen supplies	711,761	-
Food consumed	1,646,658	-
Other	16,914	-
Depreciation	118,504	-
Total operating expenses	7,529,343	12,735,667
Operating income (loss)	(2,043,622)	1,116,153
Nonoperating revenues:		
Interest income	222,529	-
State appropriations	65,159	-
Federal food commodities revenue	301,247	-
Federal appropriations	1,891,743	-
Total nonoperating revenues	2,480,678	-
Income before transfers	437,056	1,116,153
Transfers out	(335,502)	-
Change in net position	101,554	1,116,153
Net position, beginning of year	6,910,244	8,465,655
Net position, end of year	\$ 7,011,798	\$ 9,581,808

See Notes to Basic Financial Statements.

Johnston Community School District

**Statement of Cash Flows
Proprietary Funds
Year Ended June 30, 2024**

	Business-Type Activities Total Nonmajor Enterprise Funds	Governmental Activities Internal Service Fund
Cash flows from operating activities:		
Cash received from user charges	\$ 5,681,484	\$ 13,843,704
Cash payments to employees for services	(4,493,416)	-
Cash payment to claimants	-	(12,837,855)
Cash payments to suppliers for goods or services	(2,639,446)	-
Net cash provided by (used in) operating activities	(1,451,378)	1,005,849
Cash flows from noncapital financing activities:		
Payments to other funds	(335,502)	-
State grants received	65,159	-
Federal grants received	1,890,874	-
Net cash provided by noncapital financing activities	1,620,531	-
Cash flows from capital and related financing activities:		
Acquisition of capital assets	(25,452)	-
Net cash (used in) capital and related financing activities	(25,452)	-
Cash flows from investing activities, interest received	222,529	-
Net increase in cash and cash equivalents	366,230	1,005,849
Cash and cash equivalents, beginning of year	8,100,307	9,968,773
Cash and cash equivalents, end of year	\$ 8,466,537	\$ 10,974,622
(Continued)		

Johnston Community School District

Statement of Cash Flows (Continued)

Proprietary Funds

Year Ended June 30, 2024

	Business-Type Activities	Governmental Activities
	Total Nonmajor Enterprise Funds	Internal Service Fund
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:		
Operating income (loss)	\$ (2,043,622)	\$ 1,116,153
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	118,562	-
Federal commodities used	301,247	-
Change in assets and liabilities:		
(Increase) in other receivables	(84,198)	(8,116)
Decrease in inventories	8,955	-
(Increase) in prepaid expense	-	(14,669)
Increase (decrease) in accounts payable and accrued liabilities	17,426	(5,420)
(Decrease) in insurance claims	-	(82,099)
Increase in compensated absences	4,860	-
Increase in unearned revenues	279,961	-
Increase in other postemployment benefits obligation	53,700	-
(Decrease) in net pension liability	(108,269)	-
Net cash provided by (used in) operating activities	\$ (1,451,378)	\$ 1,005,849
Schedule of noncash items		
Noncapital financing activities, federal commodities	\$ 301,247	\$ -

See Notes to Basic Financial Statements.

Johnston Community School District

Statement of Fiduciary Net Position

Fiduciary Fund

June 30, 2024

	<u>Custodial</u>
Assets	
Due from other governments	<u>\$ 509,150</u>
Total assets	<u>509,150</u>
Liabilities	
Other payables	<u>509,150</u>
Total liabilities	<u>509,150</u>
Net Position	
Restricted for non-student activities	<u>\$ -</u>

See Notes to Basic Financial Statements.

Johnston Community School District

Statement of Changes in Fiduciary Net Position

Fiduciary Fund

Year Ended June 30, 2024

	<u>Custodial</u>
Additions	
Local sources:	
Fundraising and donations	\$ 765,319
Total additions	<u>765,319</u>
Deductions	
Administrative expenses	765,319
Total deductions	<u>765,319</u>
Change in net position	-
Net position, beginning of year	-
Net position, end of year	<u><u>\$ -</u></u>

See Notes to Basic Financial Statements.

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Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies

Nature of operations:

Johnston Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades prekindergarten through twelve. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical recreational courses. The geographic area served includes the City of Johnston, Iowa; portions of Urbandale, Des Moines, Granger and Grimes, Iowa; and other unincorporated areas of Polk County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

Reporting entity:

For financial reporting purposes, Johnston Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. Johnston Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Polk County Assessor's Conference Board.

Basis of presentation:

The District's financial statements are prepared in conformity with the accounting principles generally accepted in the United States of America (GAAP) that applies to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles.

Government-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets and liabilities, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation. As of June 30, 2024, the District had \$2,547,510 restricted for categorical funding, \$6,511,494 restricted for physical plant and equipment levy, \$11,394,213 restricted for school infrastructure, \$7,546,411 restricted for management levy, and \$621,284 restricted for student activities.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

When an expense is incurred which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted net position.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The Management Levy Fund is used to account for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

The Debt Service Fund accounts for property tax and other revenues to be used for the payment of interest and principal on the District's general long-term debt.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

The District reports the following nonmajor proprietary funds:

The School Nutrition Fund accounts for the food service operations of the District.

The Community Child Care Fund accounts for transactions for before and after school child care and summer child care programs authorized by Iowa Code Sections 2898A.12 and 279.49.

The Community Preschool Fund accounts for transactions for preschool programs with an instructional component for children who have not yet met the age requirement for school-aged education.

The Community Education Fund accounts for transactions for facilities and services to provide further education opportunities to the local area.

Internal Service Funds: are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District has the following internal service funds:

The Self-Insurance Fund accounts for transactions for self-insured health insurances including medical, dental, prescription and vision received by District employees in which the District is responsible for paying all claims and administrative costs attributable to the insurances listed above.

The Flexible Benefits fund accounts for transactions for certain benefits available to District employees in which the District is responsible for paying all premiums or costs specified by the employee.

The District also reported fiduciary funds which focus on net position and changes in net position. The District's Fiduciary fund includes the following:

The Custodial Fund is used for assets held by the District as an agent for individuals, private organizations and other governments.

Measurement focus and basis of accounting:

The government-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Significant accounting policies:

The following accounting policies are followed in preparing the financial statements:

Cash, cash equivalents and investments: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investment in the Iowa Schools Joint Investment Trust which is valued at amortized cost and nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Investment earnings are comprised of interest, dividends and net changes in the fair value of applicable investments.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the District-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

The property tax revenue recognized in these funds became due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2022 assessed property valuations; is for the tax accrual period July 1, 2023 through June 30, 2024 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2023.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. The consumption method of accounting is applied to the governmental fund type inventories. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid expenses and Prepaid items: Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid expenses in the District-wide financial statements and prepaid items in the fund financial statements on the consumption method.

Capital assets: Capital assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets, donated works of art and similar items are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ 3,500
Buildings	3,500
Improvements other than buildings	3,500
Right-to-use assets	3,500
Furniture and equipment	
School Nutrition Fund equipment	500
Other furniture and equipment	3,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Improvements other than buildings	20 - 50 years
Right-to-use assets	2 - 15 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities included with accounts payable and accrued liabilities.

Unearned revenue: Proprietary funds defer revenue recognition in connection with resources that have been received but not earned. Unearned revenue in the governmental funds arises when assets are recognized before revenue recognition criteria have been satisfied. Unearned revenue consists primarily of textbook rental fees, meal revenues, and child care tuition collected for the programs and services in the next school year.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Compensated absences: District employees accumulate a limited amount of earned but unused vacation and sick leave for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2024. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund.

Leases: The District is a lessee for noncancellable leases of equipment. The District recognizes a lease liability and an intangible right-to-use lease asset in the proprietary fund statements and the government-wide financial statements.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial costs to place the asset in service. Subsequently, the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Subscription-Based Information Technology Arrangements (SBITA) – The District has entered into contracts that convey control of the right to use information technology software. The District has recognized IT subscription liabilities and intangible right-to-use IT subscription assets in the government-wide financial statements.

At the commencement of the IT subscription term, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the IT subscription liability is reduced by the principal portion of payments made. The right-to-use an IT subscription asset is initially measured as the sum of the initial IT subscription liability, adjusted for payments made at or before the commencement date, plus capitalization implementation costs less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the right-to-use IT subscription asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments.

The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

The IT subscription term includes the noncancellable period of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require a remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported with long-term debt on the statement of net position.

Long-term obligations: In the governmental fund financial statements, principal and interest on long-term debt, early retirement payments, other postemployment benefits and compensated absences are recognized as liabilities only when payment has matured or become due. Proceeds from the issuance of long-term debt, is reported as other financing sources. In the fund financial statements, governmental fund types recognize bond premiums and discounts through current year operations. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources. Discounts are reported as other financing uses. Principal payments and bond issuance costs are reported as debt service expenditures.

In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. Bond premiums and discounts are amortized over the life of the contracts using a method which approximates the effective interest method. Bond issue costs are recorded as an expense when incurred.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Total OPEB Liability: For purposes of measuring the total OPEB liability, deferred outflows of resources related to OPEB and OPEB expense, information has been determined based on the Johnston Community School District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the Enterprise, School Nutrition Fund.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds.

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as "due to/from other funds" or "advances to / from other funds" in the fund financial statements. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances".

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Fund balances that contain self-imposed constraints of the government to be used for a particular purpose. The authority to assign fund balances has been delegated to the Chief Financial Officer.

Unassigned: All amounts not included in other spendable classifications as well as any deficit fund balance of any other governmental fund is reported as unassigned. Residual deficit amounts of other governmental funds would also be reported as unassigned.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

When an expenditure is incurred for purposes for which amounts in the committed, assigned, or unassigned fund balance classifications could be used, the District's policy is generally to first apply the expenditure to restricted fund balance and then to less restrictive classifications – committed, assigned and then unassigned fund balances.

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense or other postemployment benefit expense and contributions from the employer after the measurement date but before the end of the employer's reporting period.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The governmental funds report unavailable revenues from property taxes, tuition, and other revenue. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available.

In the District's government-wide statements, the property tax revenues remain a deferred inflow and will be recognized as revenue in the year for which they are levied and budgeted for. The District's government-wide statements also include the unrecognized items not yet charged to pension expense or other postemployment benefit expense.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control:

As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules- Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of four functional areas as required by state statute for its legally adopted budget. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2024, expenditures exceeded the amounts budgeted in the instruction function.

Note 2. Cash, Cash Equivalents and Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

Interest rate risk: The District's investment policy limits the investment of operating funds (funds expected to be expended in the current budget year or within 15 months of receipt) in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but that maturities shall be consistent with the needs and use of the District.

Johnston Community School District

Notes to Basic Financial Statements

Note 2. Cash, Cash Equivalents and Investments (Continued)

The District categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs. As of June 30, 2024, the District's investments were as follows:

	Fair Value	Investment Maturities (in Years)				Level Input	Rating		
		<1	1-5	6-10	>10		Standard	Fitch	
							& Poor		
Money Market Funds:									
Iowa Schools Joint Investment Trust (ISJIT)	\$ 26,217,827	\$ 26,217,827	\$ -	\$ -	\$ -	N/A	AAAm	N/A	
Treasury Bills	2,074,478	2,074,478	-	-	-	2	AA+	AAA	
	\$ 28,292,305	\$ 28,292,305	\$ -	\$ -	\$ -				

At June 30, 2024, the District had investments in the Iowa Schools Joint Investment Trust District (ISJIT) which are valued at an amortized cost pursuant to rule 2a-7 under the Investment Company Act of 1940. There were no limitations or restrictions on withdrawals of the ISJIT investments. The investments in ISJIT were rated AAAm by Standard & Poor's Financial Services.

Credit risk: Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. The District does not have a policy specific to credit risk. The credit related to the District investments are in the table above.

Concentration of Credit Risk: The District's investment policy seeks diversification to reduce overall portfolio risk while attaining market rates of return to enable the District to meet all anticipated cash requirements. The District's policy further restricts investments in short-term corporate debt and commercial paper to no more than 30 percent of the investment portfolio of the District and no more than 5 percent of the investment portfolio can be invested in the securities of a single issuer.

Custodial Credit Risk: Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty (e.g. broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized.

Johnston Community School District

Notes to Basic Financial Statements

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2024 is as follows:

	Transfer In	Transfer Out
General Fund	\$ 339,830	\$ -
Capital Projects Fund	1,905,225	5,971,486
Management Levy Fund	-	4,328
Aggregate remaining fund information:		
Nonmajor governmental funds	5,971,486	1,905,225
Nonmajor enterprise funds	-	335,502
Total	\$ 8,216,541	\$ 8,216,541

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers to the Debt Service Fund are for required principal and interest payments for the statewide sales, services and use tax revenue bonds.

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2024 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Business-type activities:				
Capital assets being depreciated,				
Furniture and equipment	\$ 3,400,000	\$ 25,452	\$ 330,854	\$ 3,094,598
Less accumulated depreciation for,				
Furniture and equipment	2,726,432	118,562	330,854	2,514,140
Business-type activities capital assets, net	\$ 673,568	\$ (93,110)	\$ -	\$ 580,458

Johnston Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets (Continued)

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated				
Land	\$ 9,048,757	\$ -	\$ -	\$ 9,048,757
Construction in progress	-	2,516,017	-	2,516,017
Total capital assets not being depreciated	9,048,757	2,516,017	-	11,564,774
Capital assets being depreciated/amortized:				
Buildings	235,511,785	918,491	-	236,430,276
Improvements other than buildings	9,550,794	298,367	-	9,849,161
Furniture and equipment	14,612,236	4,218,527	-	18,830,763
Right-to-use lease equipment	-	123,067	-	123,067
Right-to-use subscription asset	-	149,904	-	149,904
Total capital assets being depreciated/amortized	259,674,815	5,708,356	-	265,383,171
Less accumulated depreciation and amortization for:				
Buildings	69,265,034	4,872,317	-	74,137,351
Improvements other than buildings	6,258,853	405,367	-	6,664,220
Furniture and equipment	9,419,432	1,106,289	-	10,525,721
Right-to-use lease equipment	-	34,185	-	34,185
Right-to-use subscription asset	-	45,136	-	45,136
Total accumulated depreciation and amortization	84,943,319	6,463,294	-	91,406,613
Total capital assets being depreciated/amortized, net	174,731,496	(754,938)	-	173,976,558
Governmental activities capital assets, net	\$ 183,780,253	\$ 1,761,079	\$ -	\$ 185,541,332

Depreciation and amortization expense was charged by the District to the following functions:

Governmental activities:	
Instruction, regular	\$ 4,847,471
Support services:	
Administration	1,034,127
Plant operation and maintenance	581,696
Total governmental activities depreciation and amortization expense	\$ 6,463,294
Business-type activities:	
School nutrition	\$ 114,797
Community education	226
Community preschool	58
Community child care	3,481
Total business-type activities depreciation expense	\$ 118,562

Johnston Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2024 is as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds	\$ 32,760,000	\$ -	\$ 3,465,000	\$ 29,295,000	\$ 3,715,000
Premiums	2,589,408	-	369,915	2,219,493	369,915
Net revenue bonds	35,349,408	-	3,834,915	31,514,493	4,084,915
Other long-term liabilities:					
Subscription liability	-	116,663	18,000	98,663	52,040
Lease liability	-	123,067	36,653	86,414	40,806
Equipment financing	-	2,544,292	643,180	1,901,112	623,368
Compensated absences	186,081	233,281	186,081	233,281	233,281
Total OPEB liability	3,855,169	807,625	-	4,662,794	163,769
Net pension liability	23,307,018	3,010,580	-	26,317,598	-
Total other	27,348,268	6,835,508	883,914	33,299,862	1,113,264
Total governmental activities	\$ 62,697,676	\$ 6,835,508	\$ 4,718,829	\$ 64,814,355	\$ 5,198,179
Business-type activities:					
Compensated absences	\$ 20,140	\$ 25,000	\$ 20,140	\$ 25,000	\$ 25,000
Total OPEB liability	222,574	77,163	-	299,737	10,527
Net pension liability	1,188,937	204,951	-	1,393,888	-
Total business-type activities	\$ 1,431,651	\$ 307,114	\$ 20,140	\$ 1,718,625	\$ 35,527

Compensated absences, pension liabilities and OPEB liabilities are generally liquidated by the General Fund for governmental activities and the respective funds for business-type activities.

The District's revenue bond debt, which is payable from revenues of the Capital Projects Fund-Statewide Sales, Services and Use Tax account, is as follows:

- An issue of \$8,709,000 dated July 11, 2018 for the purpose of financing a portion of the costs of Wallace, the ARC and a street project, having an interest rate of 2.92% and an unpaid balance of \$5,555,000. Principal installments ranging from \$754,000 to \$984,000 is due July 1 until the final payment on July 1, 2029.
- An issue of \$26,380,000 dated June 29, 2022 for the purpose of refunding 2013 and 2014 revenue bonds, having an interest rate ranging from 3.25-8.35% and an unpaid balance of \$23,740,000. Principal installments ranging from \$2,640,000 to \$4,140,000 are due July 1 until the final payment on July 1, 2030.

The District has pledged future statewide sales, services and use tax revenues to repay the revenue bonds. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District and are payable through 2033. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds are expected to require nearly 100% of the statewide sales, services and use tax revenues. The total principal and interest remaining to be paid on the notes is \$34,310,959. For the current year, \$3,465,000 in principal was paid and \$1,790,649 of interest was paid on the bonds and total statewide sales, services and use tax revenues were \$9,201,508.

Johnston Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

The resolution providing for the issuance of the statewide sales, services and use tax revenue bonds includes the following provisions:

- a) All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
- b) Monies in the revenue account shall be disbursed to pay the principal and interest requirements of the revenue bonds for the fiscal year.
- c) Any monies remaining in the revenue account after the required payments may be transferred to the project account to be used for any lawful purpose.

The District complied with all of the revenue bond provisions during the year ended June 30, 2024.

\$8,709,000 Bond Issue 2018			
Annual Principal and Interest Requirements			
Year ending June 30:	Principal	Interest	Total
2025	\$ 845,000	\$ 149,869	\$ 994,869
2026	949,000	123,677	1,072,677
2027	899,000	96,696	995,696
2028	925,000	70,065	995,065
2029	953,000	42,647	995,647
2030	984,000	14,366	998,366
Totals	\$ 5,555,000	\$ 497,320	\$ 6,052,320

\$26,380,000 Bond Issue 2022			
Annual Principal and Interest Requirements			
Year ending June 30:	Principal	Interest	Total
2025	\$ 2,870,000	\$ 1,386,355	\$ 4,256,355
2026	3,035,000	1,139,821	4,174,821
2027	3,365,000	872,621	4,237,621
2028	3,645,000	579,954	4,224,954
2029	3,950,000	329,025	4,279,025
2030-2031	6,875,000	210,863	7,085,863
Totals	\$ 23,740,000	\$ 4,518,639	\$ 28,258,639

Total Revenue Bonds			
Annual Principal and Interest Requirements			
Year ending June 30:	Principal	Interest	Total
2025	\$ 3,715,000	\$ 1,536,224	\$ 5,251,224
2026	3,984,000	1,263,498	5,247,498
2027	4,264,000	969,317	5,233,317
2028	4,570,000	650,019	5,220,019
2029	4,903,000	371,672	5,274,672
2030-2031	7,859,000	225,229	8,084,229
Totals	\$ 29,295,000	\$ 5,015,959	\$ 34,310,959

Johnston Community School District**Notes to Basic Financial Statements**

Note 5. Long-Term Liabilities (Continued)**Subscription Based Information Technology Arrangements (SBITA):**

The District has entered into several subscription based information technology arrangements (SBITA). The arrangements expire June 30, 2026. The details of the arrangements are as follows:

Year ending June 30:	SBITA		
	Principal	Interest	Total
2025	\$ 52,040	\$ 2,960	\$ 55,000
2026	46,623	1,399	48,022
Totals	\$ 98,663	\$ 4,359	\$ 103,022

Leases:

The District has entered into a lease for AED equipment. The lease expires June 30, 2027. The details of the lease are as follows:

Year ending June 30:	Lease		
	Principal	Interest	Total
2025	\$ 40,806	\$ 2,034	\$ 42,840
2026	42,047	793	42,840
2027	3,561	9	3,570
Totals	\$ 86,414	\$ 2,836	\$ 89,250

Equipment Financing:

The District has entered into a financing agreement with Apple for computers. The agreement expires June 30, 2028. The details of the financing agreement is as follows:

Year ending June 30:	Equipment Financing		
	Principal	Interest	Total
2025	\$ 623,368	\$ 31,350	\$ 654,718
2026	633,647	21,070	654,717
2027	644,096	10,621	654,717
2028	1	-	1
Totals	\$ 1,901,112	\$ 63,041	\$ 1,964,153

Johnston Community School District

Notes to Basic Financial Statements

Note 6. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2024, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll for a total rate of 15.73 percent.

Johnston Community School District

Notes to Basic Financial Statements

Note 6. Pension and Retirement Benefits (Continued)

The District's contributions to IPERS for the year ended June 30, 2024 were \$5,386,595.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2024, the District reported a liability of \$27,711,486 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2023, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2023, the District's proportion was 0.613946 percent, which was a decrease of 0.003221 percent from its proportion measured as of June 30, 2022.

For the year ended June 30, 2024, the District recognized pension expense of \$2,065,830. At June 30, 2024, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 2,344,429	\$ 113,904
Changes of assumptions	-	440
Net difference between projected and actual earnings on pension plan investments	2,566,419	-
Changes in proportion and differences between District contributions and proportionate share of contributions	67,149	1,504,486
District contributions subsequent to the measurement date	5,386,595	-
Total	\$ 10,364,592	\$ 1,618,830

\$5,386,595 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2025. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2025	\$ (1,112,845)
2026	(2,517,182)
2027	5,966,951
2028	931,992
2029	90,251
Thereafter	-
Total	\$ 3,359,167

There were no non-employer contributing entities to IPERS.

Johnston Community School District

Notes to Basic Financial Statements

Note 6. Pension and Retirement Benefits (Continued)

Actuarial Assumptions – The total pension liability in the June 30, 2023 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement, as follows:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent, compounded annually, net of investment expense, including inflation
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

The actuarial assumptions used in the June 30, 2023 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021. Mortality rates used in the 2023 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	21.0%	4.56%
International equity	16.5%	6.22%
Global smart beta equity	5.0%	5.22%
Core plus fixed income	23.0%	2.69%
Public credit	3.0%	4.38%
Cash	1.0%	1.59%
Private equity	17.0%	10.44%
Private real assets	9.0%	3.88%
Private credit	4.5%	4.60%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.0 percent. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Johnston Community School District

Notes to Basic Financial Statements

Note 6. Pension and Retirement Benefits (Continued)

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.0 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.0 percent) or 1-percentage-point higher (8.0 percent) than the current rate.

	1% Decrease (6.0%)	Discount Rate (7.0%)	1% Increase (8.0%)
District's proportionate share of the net pension liability	\$ 58,920,793	\$ 27,711,486	\$ 1,557,571

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2024, the District reported payables to the defined benefit pension plan of \$489,410 for legally required employer contributions and \$326,101 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 7. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, Johnston Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," If a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

Benefits provided: The Plan provides healthcare benefits including medical and prescription drug benefits for retirees and their dependents. Retiree health care coverage is available to pre-age 65 eligible retirees. All employees are required to contribute the full premium in order to continue coverage at retirement. The full monthly premium rates as of July 1, 2024 for each plan are as shown below:

	Rate Tier	Health
Single		\$ 761
Family		1,522

Johnston Community School District

Notes to Basic Financial Statements

Note 7. Other Postemployment Benefits (OPEB) (Continued)

Employees covered by benefit terms: At June 30, 2024, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	25
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	950
	<u>975</u>

Total OPEB Liability

The District's total OPEB liability of \$4,962,531 was measured as of June 30, 2024 and was determined by an actuarial valuation as of June 30, 2024.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2024 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

Inflation	2.70% per annum
Salary increases	3.25% per annum
Discount rate	3.93% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	7.75% initial rate decreasing to an ultimate rate of 4.00%

The discount rate was based on the Bond Buyer 20-Bond GO index. Mortality rates were based on the RP-2014 generational table scaled using MP-19 and applied on a gender-specific basis. The actuarial assumptions used in the June 30, 2024 valuation were based on the results of an actuarial experience study for the period 2010– 2021.

Changes in the Total OPEB Liability

	Increase (Decrease)		
	Total OPEB Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Liability (a) - (b)
Balance at July 1, 2023	\$ 4,077,743	\$ -	\$ 4,077,743
Changes for the year:			
Service cost	436,596	-	436,596
Interest	161,592	-	161,592
Changes of benefit terms	-	-	-
Differences between expected and actual experience	360,221	-	360,221
Changes in assumptions or other inputs	100,675	-	100,675
Benefit payments	(174,296)	-	(174,296)
Net changes	884,788	-	884,788
Balance at June 30, 2024	\$ 4,962,531	\$ -	\$ 4,962,531

Johnston Community School District

Notes to Basic Financial Statements

Note 7. Other Postemployment Benefits (OPEB) (Continued)

There were no changes as a result of changes in benefit terms. The discount rate was 3.65% per annum in 2023 and 3.93% per annum in 2024.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease	Discount Rate	1% Increase
	2.93%	3.93%	4.93%
Total OPEB liability	\$ 5,380,000	\$ 4,962,531	\$ 4,582,000

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates:

	1% Decrease	Healthcare Cost Trend Rates	1% Increase
	6.75%	7.75%	8.75%
Total OPEB liability	\$ 4,400,000	\$ 4,962,531	\$ 5,630,000

For the year ended June 30, 2024, the District recognized OPEB expense of \$549,764. At June 30, 2024, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 669,135	\$ 1,447,044
Changes of assumptions or other inputs	346,321	245,589
Net difference between projected and actual investments	-	-
Total	\$ 1,015,456	\$ 1,692,633

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:

2025	\$ (48,424)
2026	(48,424)
2027	(48,424)
2028	(48,424)
2029	(36,514)
Thereafter	(446,967)
	\$ (677,177)

Johnston Community School District

Notes to Basic Financial Statements

Note 8. Risk Management

Johnston Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. There were no significant reductions in insurance coverage from the prior year. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

In addition to the above, the District operates a self-funded insurance program administered by a third-party administrator for its employees' and eligible dependents medical benefits. The program is supplemented by stop loss protection, which limits the District's liability to \$100,000 per individual medical claim or an aggregate limit of 125% of expected paid claims.

The District operates a totally self-funded insurance program administered by a third-party administrator for its employees' and eligible dependents' dental benefits. The program liability is limited to \$1,000 per individual per year.

Changes in the balances of claims payable during the years ended June 30, 2024 and 2023 are as follows:

	Self-Insurance Fund	
	2023	2024
Claims payable, BOY	\$ 1,664,495	\$ 1,640,684
Incurred claims	13,019,178	11,310,350
Claim payments	13,042,989	11,392,449
Claim payable, EOY	<u>\$ 1,640,684</u>	<u>\$ 1,558,585</u>

The District operates a Section 125/Flex Plan whereby employee contributions are made through payroll deduction and eligible expenses are reimbursed on a weekly basis.

Note 9. Deficit Fund Balance

The District's nonmajor enterprise funds Community Education and Community Preschool had deficit fund balances of \$268,778 and \$35,910 respectively. The District plans to eliminate these deficits through future charges for services of the programs.

Note 10. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$3,508,434 for the year ended June 30, 2024 and is recorded in the General Fund.

Johnston Community School District

Notes to Basic Financial Statements

Note 11. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2024 is comprised of the following programs:

Program	Amount
Teacher leadership	\$ 245,358
Successful progression for early readers	42,985
Professional development	1,382,604
Home school assistance program	15,495
Teacher leadership supplement	236,839
4 year old preschool	342,080
Gifted and talented	18,506
Teacher salary supplement	43,977
Other	219,666
Total	\$ 2,547,510

Note 12. Commitments

The District has entered contract commitments of \$4,507,631 of which \$2,409,152 has been paid as of June 30, 2024. The unpaid commitment balance is \$2,098,479. Revenue and general obligation bonds will provide funding for these future expenditures.

Note 13. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Johnston Community School District

Notes to Basic Financial Statements

Note 13. Tax Abatements (Continued)

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2024 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Johnston, Iowa	Urban renewal and economic development projects	\$ 966,707
City of Urbandale, Iowa	Urban renewal and economic development projects	91,193
City of Grimes, Iowa	Urban renewal and economic development projects	276,314

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2024, this reimbursement amounted to \$713,763.

Note 14. Change Within Financial Reporting Entity

In 2024, the District was not required to report the Debt Service Fund as a major fund due to the Fund not meeting the major fund quantitative threshold. The District was required to report the Management Levy Fund as a major fund due to the fund meeting the major fund quantitative threshold. The effect of the change within the financial reporting entity is as follows:

	Debt Service Fund	Management Levy Fund	Aggregate Remaining Fund Information, Other Governmental Funds
Fund balance, previously reported	\$ 1,905,225	\$ -	\$ 6,143,658
Fund balance, beginning of year	-	5,584,053	2,464,830

Note 15. Governmental Accounting Standards Board (GASB) Pronouncements

The District adopted the following statement during the year ended June 30, 2024:

GASB Statement No. 100, *Accounting Changes and Error Corrections- An Amendment of GASB Statement No. 62*, issued June 2022. The primary objective of this Statement is to enhance accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decisions or assessing accountability.

The statement required a disclosure of a change within the financial reporting entity.

As of June 30, 2024, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 101, *Compensated Absences*, issued June 2022, will be effective for the District beginning with its fiscal year ending June 30, 2025. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means.

Johnston Community School District

Notes to Basic Financial Statements

Note 15. Governmental Accounting Standards Board (GASB) Pronouncements (Continued)

A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change).

In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

GASB Statement No. 102, *Certain Risk Disclosures*, issued December 2023, will be effective for the District beginning with its fiscal year ending June 30, 2025. The objective of this Statement is to provide users of government financial statements with information about risks related to a government's vulnerabilities due to certain concentrations or constraints that is essential to their analyses for making decisions or assessing accountability. A government should provide information in sufficient detail to enable users of financial statements to understand the nature of the circumstances disclosed and the government's vulnerability to the risk of a substantial impact associated with the concentration or constraint. The disclosures should include descriptions of the following: (a) The concentration or constraint (b) Each event associated with the concentration or constraint that could cause a substantial impact if the event had occurred or had begun to occur prior to the issuance of the financial statements (c) Actions taken by the government prior to the issuance of the financial statements to mitigate the risk.

GASB Statement No. 103, *Financial Reporting Model Improvements*, issued April 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues.

GASB Statement No. 104, *Disclosure of Certain Capital Assets*, issued September 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to provide users of government financial statements with essential information about certain types of capital assets. This Statement requires certain types of capital assets to be disclosed separately in the capital assets note disclosures required by Statement 34. Lease assets recognized in accordance with Statement No. 87, *Leases*, and intangible right-to-use assets recognized in accordance with Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, should be disclosed separately by major class of underlying asset in the capital as-sets note disclosures. Subscription assets recognized in accordance with Statement No. 96, *Subscription-Based Information Technology Arrangements*, also should be separately disclosed. In addition, this Statement requires intangible assets other than those three types to be disclosed separately by major class. This Statement also requires additional disclosures for capital assets held for sale.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Johnston Community School District

Required Supplementary Information

Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in

Balances - Actual to Budget - All Governmental Funds and Enterprise Funds

Year Ended June 30, 2024

	Governmental Funds - Actual	Enterprise Funds - Actual
Revenues:		
Local sources	\$ 48,325,970	\$ 5,708,250
State sources	61,861,186	65,159
Federal sources	3,327,800	2,192,990
Total revenues	113,514,956	7,966,399
Expenditures/expenses:		
Current:		
Instruction	70,369,164	412,689
Support services	32,746,320	387,774
Noninstructional programs	103,948	6,728,880
Other expenditures	13,586,169	-
Total expenditures/expenses	116,805,601	7,529,343
Excess (deficiency) of revenues over (under) expenditures/expenses	(3,290,645)	437,056
Other financing sources (uses), net	3,533,209	(335,502)
Net change in fund balances:	242,564	101,554
Balance, beginning of year	40,782,494	6,910,244
Balance, end of year	<u>\$ 41,025,058</u>	<u>\$ 7,011,798</u>

See Notes to Required Supplementary Information.

Total Actual		Budgeted Amounts		Final to Actual
		Original	Final	Variance
\$	54,034,220	\$ 50,222,621	\$ 50,222,621	\$ 3,811,599
	61,926,345	60,646,411	60,646,411	1,279,934
	5,520,790	4,315,000	4,315,000	1,205,790
	121,481,355	115,184,032	115,184,032	6,297,323
	70,781,853	70,280,000	70,280,000	(501,853)
	33,134,094	34,415,000	34,415,000	1,280,906
	6,832,828	7,815,000	7,815,000	982,172
	13,586,169	17,687,899	17,687,899	4,101,730
	124,334,944	130,197,899	130,197,899	5,862,955
	(2,853,589)	(15,013,867)	(15,013,867)	12,160,278
	3,197,707	5,000	5,000	3,192,707
	344,118	(15,008,867)	(15,008,867)	15,352,985
	63,023,101			
\$	63,367,219			

Johnston Community School District

**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Seven Fiscal Years**

	2024	2023
Total OPEB liability		
Changes for the year:		
Service cost	\$ 436,596	\$ 428,114
Interest	161,592	142,618
Changes of benefit terms	-	-
Differences between expected and actual experience	360,221	-
Changes in assumptions or other inputs	100,675	(37,787)
Benefit payments	(174,296)	(111,618)
Net changes in total OPEB liability	884,788	421,327
Total OPEB liability - beginning	4,077,743	3,656,416
Total OPEB liability - ending	<u>\$ 4,962,531</u>	<u>\$ 4,077,743</u>
Covered employee payroll	\$ 51,027,678	\$ 45,742,000
Total OPEB liability as a percentage of covered employee payroll	9.73%	8.91%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumption:

The following are the discount rates used in each period:	3.93%	3.65%
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No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

* The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

2022	2021	2020	2019	2018
\$ 567,686	\$ 555,957	\$ 384,738	\$ 353,543	\$ 340,371
119,459	109,711	130,180	126,591	118,855
-	-	-	-	-
-	-	-	-	-
(1,949,967)	20,548	744,406	103,555	(152,476)
(87,200)	(176,250)	(195,075)	(138,020)	(102,504)
(1,350,022)	509,966	1,064,249	445,669	204,246
5,006,438	4,496,472	3,432,223	2,986,554	2,782,309
<u>\$ 3,656,416</u>	<u>\$ 5,006,438</u>	<u>\$ 4,496,472</u>	<u>\$ 3,432,223</u>	<u>\$ 2,986,555</u>
\$ 44,194,724	\$ 34,031,000	\$ 33,039,404	\$ 39,681,000	\$ 38,338,704
8.27%	14.71%	13.61%	8.65%	7.79%
3.54%	2.16%	2.21%	3.50%	3.58%

Johnston Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2024*	2023*	2022*
District's proportion of the net pension liability	0.613946%	0.617167%	0.626386%
District's proportionate share of the net pension liability	\$ 27,711	\$ 24,496	\$ 878
District's covered payroll	\$ 53,992	\$ 52,274	\$ 50,875
District's proportionate share of the net pension liability as a percentage of its covered payroll	51.32%	46.86%	1.73%
Plan fiduciary net pension as a percentage of the total pension liability	90.13%	91.40%	100.81%

Note: Amounts in thousands

*The amounts presented for each fiscal year were determined as of the prior fiscal year-end.

See Notes to Required Supplementary Information.

2021*	2020*	2019*	2018*	2017*	2016*	2015*
0.645662%	0.650501%	63.761100%	0.618953%	0.643295%	0.637961%	0.642155%
\$ 45,040	\$ 37,921	\$ 40,337	\$ 40,861	\$ 40,117	\$ 31,716	\$ 25,989
\$ 50,884	\$ 49,816	\$ 47,918	\$ 45,789	\$ 45,752	\$ 43,990	\$ 41,980
88.52%	76.12%	84.18%	89.24%	87.68%	72.10%	61.91%
82.90%	85.45%	83.62%	82.21%	81.82%	85.19%	87.61%

Johnston Community School District

**Required Supplementary Information
Schedule of District Contributions
Iowa Public Employees' Retirement System
Last Ten Fiscal Years**

	2024	2023	2022	2021
Statutorily required contribution	\$ 5,387	\$ 5,097	\$ 4,935	\$ 4,803
Contributions in relation to the statutorily required contribution	\$ (5,387)	\$ (5,097)	\$ (4,935)	\$ (4,803)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered payroll	\$ 57,184	\$ 53,992	\$ 52,274	\$ 50,875
Contributions as a percentage of covered payroll	9.42%	9.44%	9.44%	9.44%

Note: Amounts in thousands

See Notes to Required Supplementary Information.

2020		2019		2018		2017		2016		2015	
\$	4,810	\$	4,703	\$	4,279	\$	4,089	\$	4,086	\$	3,930
\$	(4,810)	\$	(4,703)	\$	(4,279)	\$	(4,089)	\$	(4,086)	\$	(3,930)
\$	-	\$	-	\$	-	\$	-	\$	-	\$	-
\$	50,884	\$	49,816	\$	47,918	\$	45,789	\$	45,752	\$	43,990
	9.45%		9.44%		8.93%		8.93%		8.93%		8.93%

Johnston Community School District

Notes to Required Supplementary Information

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared in accordance with generally accepted accounting principles.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District overexpended the instruction function \$501,853.

Note 2. Iowa Public Employees' Retirement System Pension Liability

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2023 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

Johnston Community School District

Notes to Required Supplementary Information

Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

Johnston Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2024

	Debt Service	Special Revenue Student Activity	Total
Assets			
Cash, cash equivalents and investments	\$ 1,600	\$ 665,637	\$ 667,237
Receivables:			
Other	-	36,528	36,528
Total assets	\$ 1,600	\$ 702,165	\$ 703,765
Liabilities and fund balances			
Liabilities:			
Accounts payable	\$ 1,600	\$ 80,881	\$ 82,481
Total liabilities	1,600	80,881	82,481
Fund balances:			
Restricted for:			
Student activities	-	621,284	621,284
Total fund balances	-	621,284	621,284
Total liabilities and fund balances	\$ 1,600	\$ 702,165	\$ 703,765

Johnston Community School District

Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2024

	Debt Service	Special Revenue Student Activity	Total
Revenues:			
Local sources:			
Other	\$ -	\$ 1,163,040	\$ 1,163,040
Total revenues	-	1,163,040	1,163,040
Expenditures:			
Instruction:			
Vocational and other	-	1,091,942	1,091,942
Support services:			
Administration	-	9,419	9,419
Debt service:			
Principal retirement	4,162,833	-	4,162,833
Interest and fiscal charges	1,808,653	-	1,808,653
Total expenditures	5,971,486	1,101,361	7,072,847
Excess (deficiency) of revenues over (under) expenditures	(5,971,486)	61,679	(5,909,807)
Other financing sources (uses):			
Transfers in	5,971,486	-	5,971,486
Transfers out	(1,905,225)	-	(1,905,225)
Total other financing sources (uses)	4,066,261	-	4,066,261
Net change in fund balances	(1,905,225)	61,679	(1,843,546)
Fund balances, beginning of year	1,905,225	559,605	2,464,830
Fund balances, end of year	\$ -	\$ 621,284	\$ 621,284

Johnston Community School District

Schedule of Combining Balance Sheet
Capital Projects Fund - By Account
June 30, 2024

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash, cash equivalents, and investments	\$ 10,547,539	\$ 6,501,914	\$ 17,049,453
Receivables:			
Property tax:			
Current year	-	9,580	9,580
Succeeding year	-	5,681,306	5,681,306
Due from other governments	846,674	-	846,674
Total assets	\$ 11,394,213	\$ 12,192,800	\$ 23,587,013
Liabilities, Deferred Inflows of Resources, and Fund Balances			
Liabilities:			
Accounts payable	\$ 1,089,186	\$ 526,556	\$ 1,615,742
Total liabilities	1,089,186	526,556	1,615,742
Deferred Inflows of Resources:			
Unavailable revenue:			
Succeeding year property tax	-	5,681,306	5,681,306
Total deferred inflows of resources	-	5,681,306	5,681,306
Fund Balances:			
Restricted for:			
Physical plant and equipment	-	5,984,938	5,984,938
School infrastructure	10,305,027	-	10,305,027
Total fund balances	10,305,027	5,984,938	16,289,965
Total liabilities, deferred inflows of resources and fund balances	\$ 11,394,213	\$ 12,192,800	\$ 23,587,013

Johnston Community School District

Schedule of Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Capital Projects Fund - By Account
Year Ended June 30, 2024

	Capital Projects Accounts		
	Statewide	Physical	
	Sales, Services	Plant and	
	and Use Tax	Equipment	
		Levy	Total
Revenues:			
Local sources:			
Property tax	\$ -	\$ 5,139,926	\$ 5,139,926
Utility excise tax	-	81,280	81,280
Other tax	-	3,408	3,408
Interest income	386,838	190,027	576,865
Other	-	166,483	166,483
State sources	9,201,508	41,940	9,243,448
Federal sources	-	15,666	15,666
Total revenues	9,588,346	5,638,730	15,227,076
Expenditures:			
Current:			
Instruction:			
Regular	2,587,988	226,372	2,814,360
Support services:			
Instructional staff	441,841	1,339,087	1,780,928
Administration services	99,623	18,369	117,992
Operation and maintenance of plant services	83,967	318,902	402,869
Student transportation	-	804,058	804,058
Capital outlay:			
Facilities acquisition	2,353,475	1,752,774	4,106,249
Total expenditures	5,566,894	4,459,562	10,026,456
Excess of revenues over expenditures	4,021,452	1,179,168	5,200,620
Other financing sources (uses):			
Issuance of lease and equipment financing	2,667,359	-	2,667,359
Issuance of IT subscription	116,663	-	116,663
Proceeds from sale of capital asset	-	411,647	411,647
Transfers in	-	1,905,225	1,905,225
Transfers out	(5,971,486)	-	(5,971,486)
Total other financing sources (uses)	(3,187,464)	2,316,872	(870,592)
Net change in fund balance	833,988	3,496,040	4,330,028
Fund balance, beginning of year	9,471,039	2,488,898	11,959,937
Fund balance, end of year	\$ 10,305,027	\$ 5,984,938	\$ 16,289,965

Johnston Community School District

Combining Statement of Net Position

Nonmajor Enterprise Funds

June 30, 2024

	Business Type Activities			
	Enterprise Funds			
	School Nutrition	Community Education	Community Preschool	Community Child Care
Assets				
Cash and cash equivalents	\$ 4,326,375	\$ 200	\$ 66,324	\$ 4,073,638
Due from other governments	13,380	-	-	-
Other receivables	2,485	85,988	-	23,056
Prepaid expenses	-	-	-	-
Inventories	71,732	-	-	-
Capital assets, net of accumulated depreciation	576,256	451	348	3,403
Total assets	4,990,228	86,639	66,672	4,100,097
Deferred Outflows of Resources				
OPEB related amounts	41,329	2,437	4,773	12,795
Pension related amounts	228,020	60,114	41,459	191,745
Total deferred outflows of resources	269,349	62,551	46,232	204,540
Liabilities				
Accounts payable	111,295	45,729	-	77,175
Salaries and benefits payable	45,300	55,863	213	60,592
Claims payable	-	-	-	-
Compensated absences	8,706	6,538	-	9,756
Unearned revenue	75,962	123,749	-	316,344
Other postemployment benefits obligation	201,975	11,910	23,324	62,528
Net pension liability	609,653	160,727	110,846	512,662
Total liabilities	1,052,891	404,516	134,383	1,039,057
Deferred Inflows of Resources:				
OPEB related amounts	68,890	4,062	7,955	21,327
Pension related amounts	35,615	9,390	6,476	29,948
Total deferred inflows of resources	104,505	13,452	14,431	51,275
Net Position				
Net investment in capital assets	576,256	451	348	3,403
Unrestricted	3,525,925	(269,229)	(36,258)	3,210,902
Total net position	\$ 4,102,181	\$ (268,778)	\$ (35,910)	\$ 3,214,305

Governmental Activities			
Internal Service Funds			
Total	Self-Funded Insurance	Flexible Benefits	Total
\$ 8,466,537	\$ 10,974,622	\$ -	\$ 10,974,622
13,380	-	-	-
111,529	8,116	-	8,116
-	157,655	-	157,655
71,732	-	-	-
580,458	-	-	-
9,243,636	11,140,393	-	11,140,393
61,334	-	-	-
521,338	-	-	-
582,672	-	-	-
234,199	-	-	-
161,968	-	-	-
-	1,558,585	-	1,558,585
25,000	-	-	-
516,055	-	-	-
299,737	-	-	-
1,393,888	-	-	-
2,630,847	1,558,585	-	1,558,585
102,234	-	-	-
81,429	-	-	-
183,663	-	-	-
580,458	-	-	-
6,431,340	9,581,808	-	9,581,808
\$ 7,011,798	\$ 9,581,808	\$ -	\$ 9,581,808

Johnston Community School District

Combining Statement of Revenues, Expenses and Changes in Net Position

Nonmajor Enterprise Funds

Year Ended June 30, 2024

	Business Type Activities			
	Enterprise Funds			
	School Nutrition	Community Education	Community Preschool	Community Child Care
Operating revenues:				
Local sources:				
Other local sources:				
Sale of lunches and breakfast:				
Students	\$ 1,507,229	\$ -	\$ -	\$ -
Adults	10,600	-	-	-
A la carte	407,165	-	-	-
Special functions	134,995	-	-	-
Charges for services	-	602,574	291,926	2,437,996
Other	5,853	87,383	-	-
Total operating revenues	2,065,842	689,957	291,926	2,437,996
Operating expenses:				
Instruction:				
Salaries	-	-	195,140	-
Employee benefits	-	-	61,886	-
Purchased services	-	-	24,550	-
Supplies	-	-	6,531	-
Miscellaneous	-	-	-	124,582
Support services:				
Salaries	-	-	42,156	111,515
Employee benefits	-	-	18,202	40,570
Purchased services	4,950	19,909	6,523	143,891
Depreciation	-	-	58	-
Noninstructional programs:				
Salaries	1,307,979	387,106	-	1,361,227
Employee benefits	504,415	61,837	-	351,674
Purchased services	120,986	135,841	-	3,978
Supplies	465,008	57,465	-	189,288
Food consumed	1,646,658	-	-	-
Other	2,342	14,572	-	-
Depreciation	114,797	226	-	3,481
Total operating expenses	4,167,135	676,956	355,046	2,330,206
Operating income (loss)	(2,101,293)	13,001	(63,120)	107,790
Nonoperating revenues:				
Interest income	119,320	-	1,836	101,373
State appropriations	26,607	-	38,552	-
Federal food commodities revenue	301,247	-	-	-
Federal appropriations	1,891,743	-	-	-
Total nonoperating revenues	2,338,917	-	40,388	101,373
Income (loss) before transfers	237,624	13,001	(22,732)	209,163
Transfer out	(185,502)	-	-	(150,000)
Change in net position	52,122	13,001	(22,732)	59,163
Net position, beginning of year	4,050,059	(281,779)	(13,178)	3,155,142
Net position, end of year	\$ 4,102,181	\$ (268,778)	\$ (35,910)	\$ 3,214,305

Total	Governmental Activities		
	Internal Service Funds		
	Self-Funded Insurance	Flexible Benefits	Total
\$ 1,507,229	\$ -	\$ -	\$ -
10,600	-	-	-
407,165	-	-	-
134,995	-	-	-
3,332,496	13,441,137	410,683	13,851,820
93,236	-	-	-
5,485,721	13,441,137	410,683	13,851,820
195,140	-	-	-
61,886	-	-	-
24,550	-	-	-
6,531	-	-	-
124,582	-	-	-
153,671	-	-	-
58,772	-	-	-
175,273	-	-	-
58	-	-	-
3,056,312	-	-	-
917,926	11,623,645	47,371	11,671,016
260,805	661,032	403,619	1,064,651
711,761	-	-	-
1,646,658	-	-	-
16,914	-	-	-
118,504	-	-	-
7,529,343	12,284,677	450,990	12,735,667
(2,043,622)	1,156,460	(40,307)	1,116,153
222,529	-	-	-
65,159	-	-	-
301,247	-	-	-
1,891,743	-	-	-
2,480,678	-	-	-
437,056	1,156,460	(40,307)	1,116,153
(335,502)	-	-	-
101,554	1,156,460	(40,307)	1,116,153
6,910,244	8,425,348	40,307	8,465,655
\$ 7,011,798	\$ 9,581,808	\$ -	\$ 9,581,808

Johnston Community School District

Combining Statement of Cash Flows

Nonmajor Enterprise Funds

Year Ended June 30, 2024

	Business Type Activities			
	Enterprise Funds			
	School Nutrition	Community Education	Community Preschool	Community Child Care
Cash flows from operating activities:				
Cash received from user charges	\$ 2,007,628	\$ 625,019	\$ 291,926	\$ 2,756,911
Cash payments to employees for services	(1,889,797)	(495,008)	(313,302)	(1,795,309)
Cash payment to claimants	-	-	-	-
Cash payments to suppliers for goods and services	(1,916,770)	(244,168)	(37,816)	(440,692)
Net cash provided by (used in) operating activities	(1,798,939)	(114,157)	(59,192)	520,910
Cash flows from noncapital financing activities:				
Payments to other funds	(185,502)	-	-	(150,000)
State grants received	26,607	-	38,552	-
Federal grants received	1,890,874	-	-	-
Net cash provided by (used in) noncapital financing activities	1,731,979	-	38,552	(150,000)
Cash flows from capital and related financing activities:				
Acquisition of capital assets	(23,485)	-	-	(1,967)
Net cash (used in) capital and related financing activities	(23,485)	-	-	(1,967)
Cash flows from investing activities, interest received	119,320	-	1,836	101,373
Net increase (decrease) in cash and cash equivalents	28,875	(114,157)	(18,804)	470,316
Cash and Cash Equivalents				
Beginning	4,297,500	114,357	85,128	3,603,322
Ending	<u>\$ 4,326,375</u>	<u>\$ 200</u>	<u>\$ 66,324</u>	<u>\$ 4,073,638</u>

(Continued)

	Governmental Activities		
	Internal Service Funds		
Total	Self-Funded Insurance	Flexible Benefits	Total
\$ 5,681,484	\$ 13,433,021	\$ 410,683	\$ 13,843,704
(4,493,416)	-	-	-
-	(12,386,865)	(450,990)	(12,837,855)
(2,639,446)	-	-	-
(1,451,378)	1,046,156	(40,307)	1,005,849
(335,502)	-	-	-
65,159	-	-	-
1,890,874	-	-	-
1,620,531	-	-	-
(25,452)	-	-	-
(25,452)	-	-	-
222,529	-	-	-
366,230	1,046,156	(40,307)	1,005,849
8,100,307	9,928,466	40,307	9,968,773
<u>\$ 8,466,537</u>	<u>\$ 10,974,622</u>	<u>\$ -</u>	<u>\$ 10,974,622</u>

Johnston Community School District

Combining Statement of Cash Flows (Continued)

Nonmajor Enterprise Funds

Year Ended June 30, 2024

	Business Type Activities			
	Enterprise Funds			
	School Nutrition	Community Education	Community Preschool	Community Child Care
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:				
Operating income (loss)	\$ (2,101,293)	\$ 13,001	\$ (63,120)	\$ 107,790
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:				
Depreciation	114,797	226	58	3,481
Federal commodities used	301,247	-	-	-
Change in assets and liabilities:				
(Increase) decrease in other receivables	(2,483)	(85,986)	-	4,271
Decrease in inventories	8,955	-	-	-
(Increase) in prepaid expense	-	-	-	-
Increase (decrease) in accounts payable and accrued liabilities	12,972	(16,381)	(212)	21,047
Increase in compensated absences	1,354	944	-	2,562
(Decrease) in insurance claims	-	-	-	-
Increase (decrease) in unearned revenues	(55,731)	21,048	-	314,644
Increase (decrease) in other postemployment benefits obligation and related deferrals	38,442	(4,891)	1,754	18,395
Increase (decrease) in net pension liability and related deferrals	(117,199)	(42,118)	2,328	48,720
Net cash provided by (used in) operating activities	\$ (1,798,939)	\$ (114,157)	\$ (59,192)	\$ 520,910
Noncash items:				
Noncapital financing activities, commodities received from the U.S. Department of Agriculture	\$ 301,247	\$ -	\$ -	\$ -

	Governmental Activities		
	Internal Service Funds		
	Self-Funded	Flexible	
Total	Insurance	Benefits	Total
\$ (2,043,622)	\$ 1,156,460	\$ (40,307)	\$ 1,116,153
118,562	-	-	-
301,247	-	-	-
(84,198)	(8,116)	-	(8,116)
8,955	-	-	-
-	(14,669)	-	(14,669)
17,426	(5,420)	-	(5,420)
4,860	-	-	-
-	(82,099)	-	(82,099)
279,961	-	-	-
53,700	-	-	-
(108,269)	-	-	-
<u>\$ (1,451,378)</u>	<u>\$ 1,046,156</u>	<u>\$ (40,307)</u>	<u>\$ 1,005,849</u>
\$ 301,247	\$ -	\$ -	\$ -

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Johnston Community School District

Schedule of Expenditures of Federal Awards Year Ended June 30, 2024

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Provided to Subrecipients	Total Federal Expenditures
Indirect:				
U.S. Department of Agriculture:				
Pass-Through Iowa Department of Education:				
Child Nutrition Cluster Programs:				
School Breakfast Program	10.553	FY24 4552	\$ -	\$ 310,535
National School Lunch Program	10.555	FY24 4553	-	1,384,344
National School Lunch Program- Supply Chain Assistance	10.555	FY24 4014	-	179,093
Commodities -DOD (Noncash)	10.555	FY24	-	119,987
Commodities (Noncash)	10.555	FY24	-	181,260
			-	1,864,684
Summer Food Service Program for Children	10.559	FY24 4556	-	17,770
Total Child Nutrition Cluster Program			-	2,192,989
Pass-Through Iowa Department of Natural Resources:				
Trees for Schools	10.727	FY24 4572	-	2,869
Total U.S. Department of Agriculture			-	2,195,858
U.S. Department of Education:				
Pass-Through Iowa Department of Education:				
Title I Grants to Local Educational Agencies	84.010	FY24 4501	-	708,272
Title I Grants to Local Educational Agencies	84.010	FY24 4508	-	186,901
			-	895,173
Career and Technical Education -				
Basic Grants to States	84.048	FY24 4531	-	53,851
English Language Acquisition State Grants	84.365	FY24 4644	-	57,031
Supporting Effective Instruction State Grants-				
Federal Teacher Quality Program	84.367	FY24 4643	-	18,496
Student Support and Academic Enrichment Program	84.424	FY24 4669	-	41,333
Education Stabilization Fund:				
COVID-19 Elementary and Secondary School Emergency Relief (GEERF II) Funds	84.425C	FY24 4054	-	95,185
COVID-19 ARP-Elementary and Secondary School Emergency Relief (ARP-ESSER) Fund	84.425U	FY24 4057	-	6,720
COVID-19 ARP-Elementary and Secondary School Emergency Relief (ARP-ESSER) Fund	84.425U	FY24 4043	-	85,022
COVID-19 ARP-Elementary and Secondary School Emergency Relief (ARP-ESSER) Fund	84.425U	FY24 4045	-	19,162
			-	110,904
Total Education Stabilization Fund			-	206,089
Pass-Through Heartland Area Education Agency:				
Special Education Cluster,				
Special Education - Grants to States				
IDEA, Part B	84.027	FY24 4521	-	326,845
Total U.S. Department of Education			-	1,598,818
Total Expenditures of Federal Awards			\$ -	\$ 3,794,676

See notes to schedule of expenditures of federal awards.

Johnston Community School District

Notes to the Schedule of Expenditures of Federal Awards Year Ended June 30, 2024

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards includes the federal grant activity of Johnston Community School District under programs of the federal government for the year ended June 30, 2024. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

Note 2. Significant Accounting Policies

Expenditures reported on the schedule of expenditures of federal awards are reported on the modified accrual or accrual basis of accounting based on the fund type of the program. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.



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 Superintendent Dr. Nikki Roorda • Associate Superintendent Jill Van Woerkom

Johnston Community School District

Summary Schedule of Prior Audit Findings Year Ended June 30, 2024

Findings	Status	Reason for Recurrence and Corrective Action Plan or Other Explanation
Findings Related to Statutory Reporting		
IV-A-23 Expenditures for the year ended June 30, 2023 exceeded the certified budget amounts in the noninstructional programs function. In addition, the District adopted a budget amendment after the May 31 deadline.	Not corrected.	The District does not have a process to monitor. See response and corrective action plan at IV-A-24.
IV-H-23 The District identified variances in certified enrollment certified to the state in October 2022.	Not corrected.	Student data changes were not timely communicated to District. See response and corrective action plan at IV-H-24.
IV-I-23 The District identified variances in supplementary weighting certified to the state in October 2022.	Not corrected.	Course adjustments were not timely updated. See response and corrective action plan at IV-I-24.
IV-N-23 The Community Education Fund and the Community Preschool Fund had deficit fund balances.	Not corrected.	The funds have deficit fund balances in the current year. See response and corrective action plan at IV-N-24.

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**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

To the Board of Education
Johnston Community School District
Johnston, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Johnston Community School District (the District) as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated December 13, 2024.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Johnston Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We identified certain deficiencies in internal control, described in the accompanying Schedule of Findings and Questioned Costs as items 2024-001 through 2024-003 that we consider to be significant deficiencies.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2024 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

District's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the District's response to the findings identified in our audit and described in the accompanying Schedule of Findings and Questioned Costs. The District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2024



**Independent Auditor's Report on Compliance For Each
Major Federal Program and On Internal Control
Over Compliance Required by the Uniform Guidance**

To the Board of Education
Johnston Community School District
Johnston, Iowa

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Johnston Community School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2024. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Johnston Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error; as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we

- exercise professional judgment and maintain professional skepticism throughout the audit,
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2024

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Johnston Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2024**

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued:

Unmodified

Internal control over financial reporting:

• Material weakness(es) identified?

☐

Yes

☒

No

• Significant deficiency identified?

☒

Yes

☐

None Reported

• Noncompliance material to financial statements noted?

☐

Yes

☒

No

Federal Awards

Internal control over major programs:

• Material weakness(es) identified?

☐

Yes

☒

No

• Significant deficiency identified?

☐

Yes

☒

None Reported

Type of auditor's report issued on compliance for major programs:

Unmodified

• Any audit findings disclosed that are required to be reported
in accordance with 2 CFR 200.516(a)?

☐

Yes

☒

No

Identification of major programs:

Federal Assistance

Listing Number	Name of Federal Program or Cluster
84.010	Title I Grants to Local Educational Agencies

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒

Yes

☐

No

(Continued)

Johnston Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2024

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

2024-001

Finding: The District has insufficient segregation of duties over receipt transactions.

Criteria: A good internal control contemplates an adequate segregation of duties so that no one individual handles a transaction from inception to completion.

Condition: The deficiency is the result of the following:

- A position prepares invoices for services, collects cash and checks, prepares deposits, and post transactions to the financial ledger system. This position also reconciles receipts from subsidiary systems to bank deposits and prepares batch entries.
- A position collects cash and checks, prepares the deposit and provides deposit information for posting.
- Subsidiary point of sale system reports are not reconciled on a routine basis to the general ledger.

Cause: The District has not segregated access to cash and checks from posting and reconciling. Sponsors of fundraising events or other activities are not routinely provided information to ensure the amounts provided for deposit were properly recorded. The District does not reconcile the point of sale systems to the general ledger postings including unearned revenue.

Effect: Misappropriations of assets or errors could occur and not be detected in a timely manner.

Context: The deficiency is over cash and checks collected by the District.

Identification as a repeat finding: This is not a repeat finding.

Recommendation: The position responsible for collecting receipts or with access to cash and checks should be segregated from posting receipts to the financial ledger system and reconciling accounts. In addition, we have the following specific recommendations:

- At the Administration Center, cash or checks should be receipted and prepared for deposit by a position without access to billing or to posting the transactions.
- Sponsors and coaches for athletics and activities should be provided a routine report from the Business Office or the point of sale system. The report should be automated or generated by a position without access to the cash and checks collected. Sponsors should be required to review the report deposits and expenditures to agree to their records.
- Monthly reports from the subsidiary point of sale systems should be provided to the Business Office. The Business Office should reconcile the amounts reported as revenue and unearned revenue to the general ledger to ensure receipts collected and deposited are properly recorded.

Response and Corrective Action Plan: The District will review current processes and realign duties and system access levels to improve internal controls within the design of the receipt system.

(Continued)

Johnston Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2024

2024-002

Finding: The District has insufficient segregation of duties over the cash disbursement function.

Criteria: A properly designed system of internal control over financial reporting requires entities to initiate, authorize, record, process and report financial data reliably in accordance with accounting principles generally accepted in the United States of America.

Condition: The finding is the result of the following conditions:

- District Accounts Payable position has access to set up new vendors or edit vendor information in the system process payments and generate checks.
- There is not a formal check sequence monitoring process.
- The position responsible for transfers between bank accounts also reconciles the bank statement and there is not a formal review process over the bank reconciliation process.

Cause: A limited number of personnel are involved in the cash disbursement function.

Effect: Misappropriation of assets could occur and not be detected in a timely basis.

Context: This deficiency is over the District's expenditures.

Identification as a repeat finding: This is not a repeat finding.

Recommendation: In general, authorization of new vendors, entering invoices into the accounting system and processing of checks should be segregated. We recommend implementing the following controls to strengthen internal controls over disbursements:

- Although not the primary position responsible, the Master Vendor File access should be removed from the position that has access to process payments and generate checks.
- Check sequence should be logged and monitored by a position without access to generate checks. In addition to the current vendor accounts payable listing, the Board should also receive a listing of monthly accounts payable by check number.
- The process of matching invoices to check stubs should be delegated to a position without access to process accounts payable. This position should match all invoices to the checks noting proper amount and address and mail the checks once all invoices are matched to the checks.
- Monthly a formal review process should be incorporated over the bank statement reconciliation, including tracing bank balance to the bank statement, book balance to the general ledger, tracing transfers between bank accounts and reviewing the bank statement and reconciliation for reoccurring or unusual transactions or uncleared reconciling items.

Response and Corrective Action Plan: The District will review current processes and realign duties and system access levels to improve internal controls within the design of the disbursement transaction system.

(Continued)

Johnston Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2024

2024-003

Finding: The District has insufficient segregation of duties over the payroll process.

Criteria: A properly designed system of internal control over financial reporting requires entities to initiate, authorize, record, process and report financial data reliably in accordance with accounting principles generally accepted in the United States of America.

Condition: Although the Payroll Specialist is not responsible for adding new employees to the payroll system, the position has access rights to the system to enter and modify pay assignments. These access rights give the position the capability to change the employee master file, including entering new employees, modifying pay rates and adding deductions; enter time to the payroll system, process the payroll and generate the payroll checks and direct deposits.

Cause: Access rights are not appropriately modified in the financial software system to prevent segregation of duties issues.

Effect: Misappropriations of assets could occur and not be detected in a timely basis.

Context: A good internal control contemplates an adequate segregation of duties so that no one individual handles a transaction from inception to its completion.

Identification as a repeat finding: This is not a repeat finding.

Recommendation: Ideally, the position responsible for processing the payroll should be segregated from access to make employee master file changes including adding pay contracts and benefits. The District should evaluate the payroll software to determine if password protections within applications in regard to the master file could be limited to Human Resource Department. If capabilities do not exist to restrict access, we provide the following recommendations to strengthen the District's internal control system:

- The Director of Business Services position should review the payroll checks and direct deposit listing to look for any unknown employees and any unusual pay amounts. This position should compare the total pay amount to the prior payroll period and investigate any unusual variances in the total amount paid from one pay period to the next and compare totals to budget for any variances.
- The District should determine if a payroll change/edit report can be printed from the payroll system. This report should list all changes made to the employee master files. The changes on this report should be reviewed by a position independent from the payroll processing position.

Response and Corrective Action Plan: The District will review current processes and realign duties and system access levels to improve internal controls within the design of the disbursement transaction system.

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Johnston Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2024

Part IV: Other Findings Related to Statutory Reporting

IV-A-24

Certified Budget –

Finding: Expenditures for the year ended June 30, 2024, exceeded the certified budget for the instruction function.

Recommendation: The certified budget should be amended in accordance with Chapter 24.9 of the Code of Iowa and in sufficient amounts to ensure the budget is not exceeded.

Response: The District will amend the budget, allowing a higher threshold for estimated expenditures, to comply with the certified budget requirements.

Conclusion: Response accepted.

IV-B-24

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 2019.

IV-C-24

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-24

Business Transactions – No business transactions between the District and District officials or employees were noted.

IV-E-24

Restricted Donor Activity- No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-24

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-G-24

Board Minutes –

Finding: The minutes for the September 11, 2023, September 25, 2023, March 4, 2024, and March 18, 2024, meetings were not published within two weeks per Iowa Code Chapter 279.35.

Recommendation: We recommend the District publish board meeting minutes within two weeks of the meeting.

Response and Corrective Action Plan: The District will review current processes and ensure all meeting minutes are published within two weeks of the meeting.

Conclusion: Response accepted.

(Continued)

Johnston Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2024

IV-H-24

Certified Enrollment-

Finding: The District identified variances in certified enrollment submitted to the state in October 2023.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-I-24

Supplementary Weighting –

Finding: Variances in supplementary weighting data certified to the Iowa Department of Education were noted.

Recommendation: We recommend the District review supplementary weighting data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-J-24

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-24

Certified Annual Report – The Certified Annual Report was certified timely to the Iowa Department of Education.

IV-L-24

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

(Continued)

Johnston Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2024

IV-M-24

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted. Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2024, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance		\$	9,471,039
Revenue / transfers in:			
Statewide sales and services tax revenue	9,201,508		
Issuance of long term debt	2,784,022		
Interest income	386,838		12,372,368
Expenditures/transfers out:			
School infrastructure:			
Instruction	2,587,988		
Support services	625,431		
Buildings and improvements	2,353,475		
Transfers out	5,971,486		11,538,380
Ending balance		\$	10,305,027

For the year ended June 30, 2024, the District did not reduce the debt service tax levy as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

IV-N-24

Deficit Balances-

Finding: The Community Education Fund and the Community Preschool Fund had deficit balances at June 30, 2024.

Recommendation: The District should continue to investigate alternatives to eliminate this deficit in order to return these funds to a sound financial condition.

Response: The District is continuing to investigate alternatives to minimize the deficit in the Community Education Fund and the Community Preschool Fund at the end of the fiscal year.

The deficit in the Enterprise, Community Education fund results from recognizing OPEB liability and net pension liability (approximately \$161,000) as required by generally accepted auditing principles and is based on the District's employer share of contributions to IPERS relative to the contributions of all IPERS participating employers. This liability is only payable as the District pays the District's employer share of IPERS contributions on payroll in the future years.

The deficit in the Enterprise, Community Preschool fund results from recognizing OPEB liability and net pension liability (approximately \$111,000) as required by generally accepted auditing principles and is based on the District's actuarial valuation of future benefits. This liability is only payable as the District pays the District's employer share of health insurance.

Conclusion: Response accepted.

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 Superintendent Dr. Nikki Roorda • Associate Superintendent Jill Van Woerkom

Johnston Community School District

Corrective Action Plan Year Ended June 30, 2024

Findings	Corrective Action Plan	Anticipated Date of Completion and Responsible Contact Person
Findings Related to Basic Financial Statements:		
Significant Deficiencies:		
2024-001 The District has insufficient segregation of duties over receipt transactions.	See 2024-001	Fiscal Year 2025 Ryan Eidahl, Chief Financial Officer
2024-002 The District has insufficient segregation of duties over the cash disbursement function.	See 2024-002	Fiscal Year 2025 Ryan Eidahl, Chief Financial Officer
2024-003 The District has insufficient segregation of duties over the payroll process.	See 2024-003	Fiscal Year 2025 Ryan Eidahl, Chief Financial Officer
Other findings Related to Statutory Reporting:		
IV-A-24 Expenditures for the year ended June 30, 2024 exceeded the certified budget amounts in the instruction function.	See IV-A-24	Fiscal Year 2025 Ryan Eidahl, Chief Financial Officer
IV-G-24 The minutes for the September 11, 2023, September 25, 2023, March 4, 2024, and March 18, 2024, meetings were not published within two weeks per Iowa Code Chapter 279.35.	See IV-G-24	Fiscal Year 2025, Ryan Eidahl, Chief Financial Officer
IV-H-24 The District identified variances in certified enrollment submitted to the state in October 2023.	See IV-H-24	Fiscal Year 2025 Ryan Eidahl, Chief Financial Officer
IV-I-24 The District identified variances insupplementary weighting submitted to the state in October 2023.	See IV-I-24	Fiscal Year 2025 Ryan Eidahl, Chief Financial Officer
IV-N-24 The Community Education Fund and the Community Preschool Fund had deficit balances at June 30, 2024.	See IV-N-24	Fiscal Year 2025 Ryan Eidahl, Chief Financial Officer